STARTER TRADING COURSE

The Complete 30-Day Program

4 Levels · 30 Lessons · Diagrams · Cheat Sheets · Workbook · Bonuses

Read one lesson per day. Do every action step.
Graduate with your own trading playbook.

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LEVEL 1 — FOUNDATIONS

Days 1–8 · How markets actually work

Day 1 - How Markets Actually Work

The story of 45 minutes that broke Wall Street's brain

On May 6, 2010, at 2:32 PM New York time, the Dow Jones was having a bad but ordinary day - down about 300 points. Then, in the next 36 minutes, it fell nearly 1,000 points more. For a few minutes, shares of the consulting firm Accenture traded at **one cent**. PG&E - a boring, stable utility - traded at **$39,999.99** a share. P&G itself crashed 37% in minutes, then recovered almost everything before the closing bell.

No asteroid hit. No bank collapsed. What happened was simpler and more important: one large mutual-fund company started selling about **$4.1 billion** worth of stock-market bets, all at once, into a market where buyers had quietly stepped away. For a few minutes, there were almost no agreements between buyers and sellers at *any* price. So prices - remember, prices are just the last agreement - printed absurd numbers until buyers returned. The SEC later called it the Flash Crash.

Sit with that: the most sophisticated market on Earth briefly priced Accenture at 1 cent and a power company at $39,999.99. Not because anyone decided those were fair prices - but because those were the last agreements between the few buyers and sellers still standing.

That is the entire subject of today's lesson. Once you truly understand what a price is, 80% of trading confusion evaporates.

> *Ask yourself: **Before we start - honest answers only:** if you'd had money in the market on March 13, 2020 (the day Nifty froze at the lower circuit), do you think you'd have been one of the people frantically pressing sell... or one of the frozen watchers refreshing the app? There's no wrong answer. Yet. Jot down your guess - by tonight you'll know exactly what you'd have been watching.*

What you'll learn

- What a "price" actually is (the Flash Crash makes it obvious)
- Why prices move up and down
- Who you're trading against

A market is an auction - nothing more

Forget the news, the indicators, the opinions. At its core, every market is an auction with one item for sale and millions of bidders.

- A **buyer** says: *"I'll pay Rs 24,100 for one Nifty futures contract."*
- A **seller** says: *"I'll only sell at Rs 24,120."*
- When a buyer agrees to pay the seller's price (or vice versa), a **trade happens** - and the price on your screen updates to that last traded price.

The price on your screen is simply the price of the most recent agreement between one buyer and one seller. Accenture at Rs 0.01 wasn't a valuation - it was the last

agreement in a temporarily empty room.

Why prices move

Prices move for one reason only:

> ***When aggressive buyers outnumber aggressive sellers, price rises. When aggressive sellers outnumber aggressive buyers, price falls.***

- **Aggressive buyer** = someone who hits "buy now" and accepts the seller's asking price.
- **Aggressive seller** = someone who hits "sell now" and accepts the buyer's price.

If 1,000 people suddenly want to buy and only 200 want to sell at the current price, the buyers consume the available sellers. The next sellers demand more. Price rises. The Flash Crash was the extreme version: sellers screamed, buyers vanished, and price fell off a cliff until new buyers found the prices attractive enough to agree again.

Who is on the other side of your trade?

You are never trading against "the market." You're trading against *people*:

Participant	What they want	How it shows up
Retail traders (like you)	Quick profits	Small, scattered orders
Institutions (mutual funds, FIIs/DIIs)	Fill huge positions over days	Sustained one-directional moves
Market makers	Earn the spread, stay flat	Constant two-sided quotes
Hedgers	Protect existing holdings	Predictable orders at levels

Beginners imagine they're trading against geniuses. Mostly you're trading against *patterns of behavior* - and behavior repeats. That's why price patterns exist at all.

? Case file: March 2020 - the panic you will live through again

Between February 19 and March 23, 2020, the S&P 500 fell **34% in 23 trading days** - the fastest bear market in history. Nifty did the same in lockstep. News readers were paralyzed; auction readers saw something simpler: aggressive sellers everywhere, buyers only at lower and lower prices. Every day, the last agreement printed lower. Then on March 23, buyers stepped back in aggressively - and the same mechanism ran in reverse: the S&P rose roughly 50% in five months and made new all-time highs by August. No prediction was needed. Only the ability to read *who is more aggressive right now* - the skill this course builds from the ground up.

The Indian story: circuits, panic, and the 7,511 bottom

You lived the Indian version of the Flash Crash. On March 13, 2020, Nifty hit its 10% lower circuit within minutes of opening - trading was frozen, and thousands of sell orders sat frozen with it. On March 23, it happened again, and Nifty touched **7,511 intraday **- down ~39% in five weeks. India VIX, the fear gauge, spiked past** 83**, the

highest reading anywhere in the world at that time. Same mechanism as May 2010: sellers screaming, buyers gone, last agreements printing lower by the minute. Then, on March 24, buyers stepped back in aggressively - and Nifty roughly **doubled within eight months**, closing 2020 near 13,982. No prediction needed - just reading who was more aggressive, day by day.

Key takeaways

• Price = the most recent agreement between a buyer and a seller. (Flash Crash: 1 cent to $39,999.99 proves it.)

• Price moves when one side becomes more aggressive than the other.

• You trade against repeating human behavior, not against "the market."

Quick check (done)

1. Price on your screen updates when...?
2. If buyers keep "eating" all available sellers at the ask, what happens next?
3. True or false: a big green candle means more people bought than sold at that moment.

Today's action step

Open your charting app, put Nifty 50 on a 5-minute chart, and watch it live for 10 minutes (no trading). Don't look for patterns - narrate the auction like a commentator: *"Sellers pushing, buyers waiting... buyers stepped in, sellers pulled their orders..."* You're training the exact muscle that read March 2020 in real time.



A big bullish candle: aggressive buyers overwhelming available sellers

Day 2 - Brokers & Order Types

The 45 minutes that cost $440 million

On August 1, 2012, Knight Capital - one of the largest market makers in America, handling trades for everyday investors - deployed a software update. One line of dead code from an old module woke up. Within **45 minutes**, Knight's machines had sent millions of unintended orders into the stock market, buying high and selling low in a loop it couldn't stop. By the time engineers killed it: **$440 million gone - roughly $170,000 per second**. Knight's stock collapsed 60%+ and the firm was rescued in a fire-sale merger days later.

Here's why this story opens a lesson for *you*: Knight's disaster wasn't about analysis. It was about **the plumbing** - what happens between your finger pressing "buy" and the exchange matching your order. That plumbing is the broker's world, and you live in it every trade. Today you learn the four order types that control exactly how your bid enters that auction.

> *Ask yourself: **Quick honesty check:** when you open your trading app, do you actually know where your shares are held? If your broker's app vanished tomorrow, could you get your holdings back? Jot your guess in your head - today's two stories will make you want to check. What do you think - safe, or "never thought about it"?*

What you'll learn

- What a broker actually does (and Knight's place in the chain)
- Market, limit, stop-market and stop-limit orders
- Which order type to use when

What a broker does

You can't walk up to the exchange and shout your order. A **broker** is your licensed gateway: your app sends an order -> the broker validates and routes it -> the exchange matches it against another order -> the fill comes back to you - all in milliseconds.

In the chain, your broker also: holds your money, calculates margin, sends contract notes, and reports your trades to tax authorities. (And a broker's own systems can fail - Knight's did; so can your app's. **Choose a broker you trust with money and data.** On volatile days in India, you've probably seen screenshots of broker outages; the traders who planned for it had phone-trade backups. The plumbing matters.)

The four order types

1. Market order - "Get me in NOW"

You accept whatever price is available right now.

- (done) Guaranteed fill, instantly

• ? No price guarantee - in a fast market you get a worse price (*slippage*, Day 6).

Knight's rogue orders were effectively toxic market orders.

• **Use when:** exiting a losing trade fast. *Never* for careful entries.

2. Limit order - "Only at my price (or better)"

You name your price. The order sits in the queue until someone accepts it.

• (done) Guaranteed price (or better)

• ? Not guaranteed to fill - price may run away without you

• **Use when:** planning an entry at a level you chose in advance. **Your default order type for entries.**

3. Stop-market order - "If price hits X, get me out NOW"

Dormant until price touches your *trigger*, then becomes a market order.

• (done) Your safety net - this is what a stop loss is

• ? In a panic, fills can be far from the trigger price

• **Use when:** always, on every trade, no exceptions.

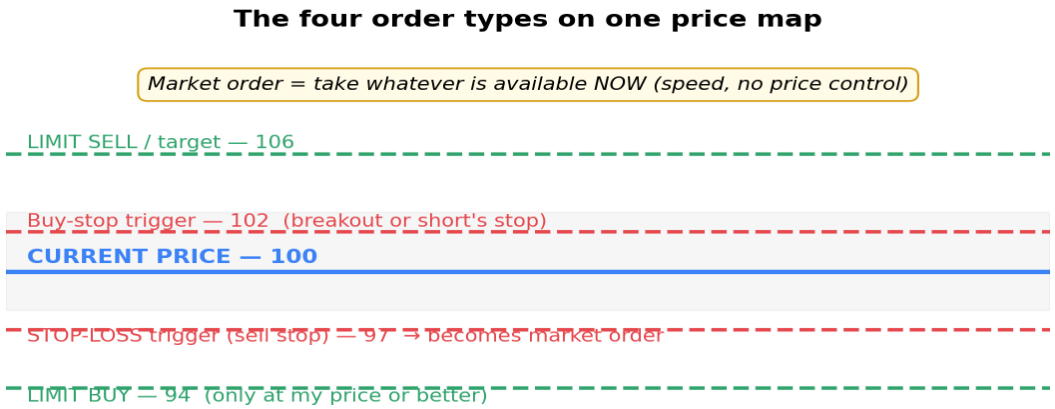
4. Stop-limit order - "If price hits X, place a limit at Y"

Dormant until trigger, then becomes a *limit* order.

• (done) Price control after the trigger

• ? Dangerous: in a crash your limit may never fill and you ride the whole fall

• **Use when:** rarely, only once experienced. Beginners skip this.



The four order types on one price map

Day 3 - Reading Charts: Candles, Timeframes & Volume

One tweet, one candle, $365 billion gone

On May 13, 2021, at 6:06 PM, Elon Musk tweeted that Tesla would stop accepting Bitcoin for environmental reasons. Within hours, Bitcoin printed a candle that fell from roughly $54,000 to below $46,000 - nearly **$365 billion wiped off crypto's total value in a single move**. Six days later, on May 19, a second wave hit: China reiterated its crypto ban, and Bitcoin dropped 30% in a day, at one point 50% below its April high.

If you'd looked at those days on a chart, you wouldn't have needed the news first - the candles *told* you. A giant red body with a long lower wick: sellers slammed price down, buyers fought back at the lows. Volume bars three times the normal height: this wasn't retail noise, it was a stampede. Today you learn to read exactly that language.

> *Ask yourself: **Try this before reading on:** open any chart you have and look at the last candle for five full seconds. Don't scroll, don't analyze. Just look. What do you think it's saying? Hold that guess - by the end of today, you'll read that candle the way you read a headline. Write your first impression in your notes if you like.*

What you'll learn

- Anatomy of a candlestick (using the May 2021 dump)
- How to read any timeframe
- What volume tells you that price hides

Anatomy of a candlestick

A candle compresses four prices from its time period into one picture: **Open** (start), **Close** (end), **High** and **Low** (the extremes). The thick **body** spans open -> close; the thin **wicks** show the high/low excursions.

- **Bullish candle** (green): close *above* open -> buyers won the period
- **Bearish candle** (red): close *below* open -> sellers won the period

(done) Diagram already made: `charts/generated/L1-03-candle-anatomy.png`

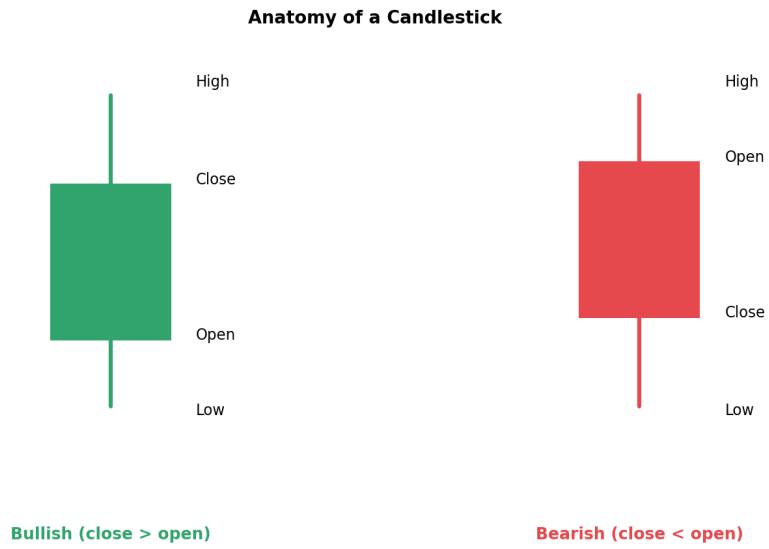
Read the wicks like a fight replay: on May 19, 2021, Bitcoin's daily candle had a massive *lower* wick - sellers pushed it down ~50% from the April top, and buyers rejected those prices so hard that the candle closed far off its low. That long lower wick was the first footprint of the bottoming process. A long *upper* wick is the mirror: buyers pushed up and got slapped back. Wicks are footprints of who lost the fight.

Timeframes: the same movie, different zoom

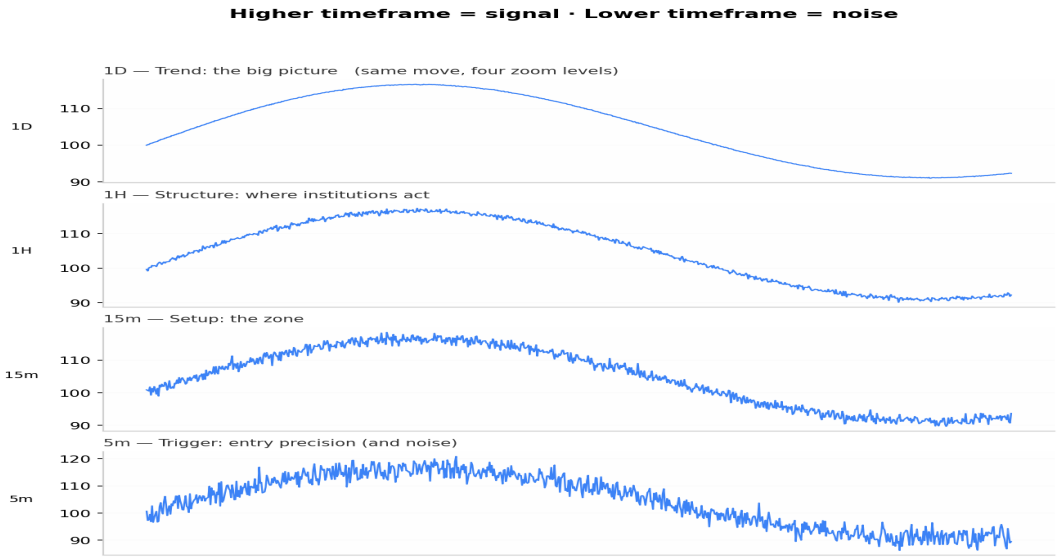
A timeframe is just how long each candle represents:

Timeframe	Each candle =	Question it answers
1D (daily)	One full day	"What's the big picture trend?"
1H	One hour	"Where are institutions active?"
15m / 5m	15 / 5 minutes	"Where exactly do I enter?"
1m	One minute	Scalping territory - ignore for now

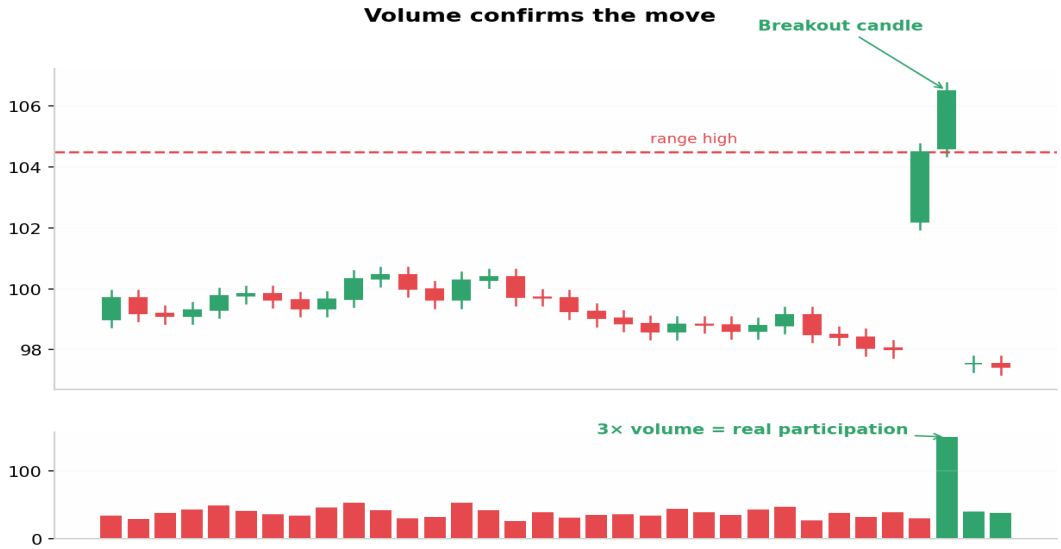
Golden rule: *the lower the timeframe, the more noise. During the May 2021 crash,* the *daily* candle told a clear story of panic-then-defense. The *1-minute* chart that day was a seizure - thousands of whipsaws that would have triggered and stopped out anything mechanical. Same event, different truth, depending on zoom.



Anatomy of a candlestick



The same move at four zoom levels — higher timeframe = signal



Volume confirms the breakout

Day 4 - Points, Ticks & Lot Sizes: What a Move Is Worth

The day oil went below zero - and destroyed people who never read the contract

On April 20, 2020, something happened that had never happened in market history: the May WTI crude oil futures contract closed at **minus $37.63 per barrel**. Sellers were paying buyers to take oil off their hands. Thousands of traders - many in India trading US oil ETFs and contracts through apps - were wiped out. Some owed more than they put in. Most of them had never read the contract they were trading. They didn't know what a "barrel" unit meant for their P&L, that futures expire and force delivery mechanics, that the contract they held was about to roll. They knew "oil is cheap, it must bounce." They did not know **what one point of oil was worth to them**. Today you learn the lesson those traders paid their accounts for - it's the least glamorous and most profitable lesson in Level 1.

> *Ask yourself: **No scrolling back:** one lot of Nifty, and it moves 100 points. What's that in rupees? Take a real guess right now - type it as a reply if you're feeling brave. Most people who've traded for a year get this wrong, and the April 2020 oil traders lost their accounts getting it wrong. That's why today exists.*

What you'll learn

- Points vs ticks - and why the WTI crash was a contract-knowledge disaster
- Lot size / contract multiplier
- Converting a price move into rupees

Why this lesson exists

Ask a beginner: *"Nifty moved 50 points - how much did you make?"* Most can't answer. If you don't know what a move is worth in money **before** you trade, you're not trading - you're the April 20, 2020 crowd, hoping.

The vocabulary

Term	Meaning	Example (Nifty futures)
Point	One unit of price	24,100 -> 24,150 = 50 points
Tick	Smallest price increment	Nifty = 0.05 points
Lot size	Minimum quantity per contract	Nifty futures lot = 75 (check current)
Multiplier	Lot size x 1 (for futures)	1 point = Rs 75 per lot
Tick value	Value of one tick	0.05 x 75 = Rs 3.75

The oil traders' fatal gap: they knew oil's price, not their exposure. WTI's contract is 1,000 barrels per contract - a $1 move = $1,000 per contract. When oil went from $18 to -$37, that was a **-$55,000 swing per single contract**. Knowing that number beforehand is the entire lesson.

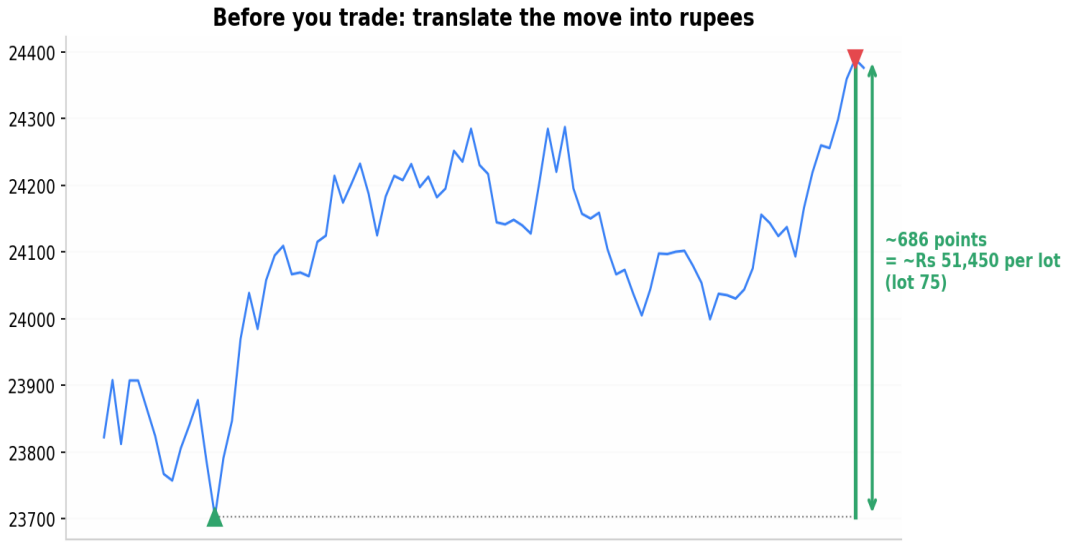
The only formula you need

Profit/Loss = Points gained x Lot size x Number of lots

Example: You buy 1 lot of Nifty futures at 24,100 and exit at 24,150.

- Points gained = 50 - Lot size = 75 - **P/L = 50 x 75 x 1 = Rs 3,750** (before charges)

Same move in a stock: buy 100 shares at Rs 500, sell at Rs 510 -> Rs 10 x 100 = **Rs 1,000**.



Translate every move into rupees before you trade

Day 5 - Leverage & Margin: The Multiplier

The Rs 2 lakh ticket to an Rs 18 lakh position

Meet Meena. She has Rs 2 lakh in her trading account, and she's bullish on the market. Without the instrument you're about to learn, participating would be impossible: one lot of Nifty futures represents 75 x 24,000 = **Rs 18 lakh of index**. Meena doesn't have Rs 18 lakh. End of story.

Except it isn't. Her broker asks for only about **Rs 1.5-2 lakh as margin** - a security deposit - and lets her hold the position. That's **leverage**: the ability to control a large position with a small deposit. It's the reason a small account can trade markets at all, and it's available to you every single day on NSE.

Now watch the same tool do two very different jobs.

Job one - with a plan. Meena buys at 24,100 with a stop at 24,040 (her idea is "wrong" below 24,040, plain and simple). Nifty rises 200 points over the next week. Her gain: 200 x 75 = **Rs 15,000 - about 7.5% on her Rs 2 lakh account in days.** She controlled Rs 18 lakh with Rs 2 lakh, and a planned trade paid her. This is leverage doing exactly what it was built for.

Job two - without a plan. Ravi, same account, same lot - but no stop, because "it'll come back." Nifty falls 500 points in a bad week. His loss: 500 x 75 = **Rs 37,500 - nearly 19% of his account**, gone. Not because leverage is evil. Because Ravi's plan was a feeling.

Same tool. Same market. The multiplier amplified whatever was attached to it - Meena's plan, or Ravi's hope. **Leverage is not good or bad. It simply multiplies your process.**

Today you learn to make sure what's attached to it is a plan.

> *Ask yourself: **One word will do:** Meena made Rs 15,000 in a week on a planned trade. Ravi lost Rs 37,500 on hope. Same tool, same market, same month. What do you think the real difference between them was? Prediction? Luck? Personality? Note your one word - then see if it survives today's lesson.*

What you'll learn

- What leverage and margin actually are (Meena's version)
- How the multiplier works in both directions
- The leverage you're actually using - and the two rules that make it safe

What is leverage?

> ***Leverage lets you control a large position with a small security deposit called margin.** You own the profit or loss of the full position - the margin is just the deposit.*

Meena's example above is 9x leverage (Rs 18 lakh position ÷ Rs 2 lakh margin). Her broker holds the margin as security and settles her P&L in cash daily (that's "mark-to-market"

- profits added, losses deducted, every day).

How the multiplier works

Nifty moves	Against 1 lot (75)	On Rs 2 lakh margin	With Meena's stop?
50 points	Rs 3,750	1.9%	Never reached
200 points (favor)	+Rs 15,000	+7.5%	Banked
500 points (against)	Rs 37,500	18.8%	Exited at ?Rs 4,500

See the design: with a stop, the multiplier works **for** her on good trades and the stop caps it on bad ones. Without a stop, there's no cap at all. The tool didn't change

- the plan did.

The margin call

If losses eat into your margin, the broker asks for more money - a **margin call**.

Can't add funds? The position is closed for you, at whatever the market gives, usually the worst moment. A stop loss you chose beats a margin call the broker chose, every time. (Days 18-20 will make your stop and your size automatic.)

The leverage you're actually using

Most beginners think: *"I don't use leverage, I trade stocks."* Check again:

Instrument	Typical leverage	Notes
Equity delivery (CNC)	1x	No leverage
Equity intraday (MIS)	3-5x	Broker blocks a fraction of value
Futures	5-10x	Daily mark-to-market
Options buying	Premium at risk	Can go to zero; max loss = premium paid
Options selling	5-8x	Bigger obligations - we'll cover this much later

Notice: options *buying* is the only one where the most you can lose is fixed upfront - the premium you paid. That's one reason beginners start there.

The two rules that make leverage safe

1. **Every leveraged position carries a stop loss chosen by you, from the first second.**

(Day 18: placed beyond the structure, not by feeling.)

2. **Position size comes from the formula, never from the margin available.** The broker will happily let you use all your margin. The formula often says use a quarter of it.

(Day 20.)

With those two rules, leverage is what lets a Rs 2 lakh account build like a much larger one. Without them, the multiplier runs the other way. Same as Meena and Ravi - the tool was identical.

The Indian story: crores of traders, almost none with these two rules

India runs one of the world's biggest leveraged retail markets, and SEBI measured the result: in its FY22-FY24 study, **93% of individual F&O traders lost money**, average losses around **Rs 2 lakh per trader**, total retail F&O losses near **Rs 1.8 lakh crore**. Read that data carefully, though - it doesn't say leverage lost the money. It says traders without a written stop and a calculated size lost the money. The winners in SEBI's data used the same leverage, the same products, the same market. The difference was never the tool. Over the next fifteen days, you install the two rules above - and the same products that drained Rs 1.8 lakh crore become usable, on your terms.

Key takeaways

• Leverage = controlling a large position with a small margin deposit. It's the tool that lets small accounts trade big markets at all. (Meena: Rs 18 lakh position, Rs 2 lakh deposit, +7.5% in a planned week.)

• The multiplier runs both directions - the stop and the size decide which direction matters to you. Never the broker's margin limit.

• Two rules make leverage safe: your stop on every position, size from the formula.

Quick check (done)

1. One Nifty lot = Rs 18 lakh position on Rs 2 lakh margin. Nifty rises 200 points. Gain in Rs , and roughly what % of the margin?

2. What's the difference between a stop loss and a margin call - who chooses each one?

3. Which instrument in the table has its maximum loss fixed upfront?

Today's action step

Open your broker's margin calculator. Type in one Nifty futures trade and one intraday stock trade. Write down the margin each blocks, and your implied leverage (position value ÷ margin). Then compute: if your stop were hit on each, what % of your account would you lose? That last number - not the leverage number - is the only one that matters. You're about to learn to control it precisely.

Answers: 1 - 200 x 75 = Rs 15,000 ? +7.5% of Rs 2 lakh -

2 - Stop loss: you choose the exit level before entering. Margin call: the broker forces an exit when your deposit runs out - 3 - Options buying (max loss = the premium you paid)



Same strategy — risk 1% per trade vs 20%

Day 6 - Long vs Short, Spreads & Slippage

The 15 minutes that broke currency brokers

On January 15, 2015, at 9:30 AM Swiss time, the Swiss National Bank - without warning - cancelled its three-year-old promise to keep the Swiss franc from rising too fast against the euro. In roughly **15 minutes**, **the franc surged 30-40%. Within days,** Alpari UK was bankrupt** and FXCM - the largest US retail forex broker - needed a **$225 million emergency loan** to survive. What killed them wasn't the direction - it was the **plumbing**: during those minutes, bid-ask spreads on EUR/CHF blew from fractions of a pip to several *dollars* wide, and stop losses filled miles from their triggers. Slippage did the rest.

The SNB shock is the perfect story for today, because it contains all three of our subjects: making money in both directions (franc *buyers* made fortunes that day), the spread, and slippage - the two hidden costs that quietly tax every trade you place.

> *Ask yourself: **Have you ever...** bought a stock, watched it go UP, and still lost money on the trade? If yes, today's lesson will feel like someone reading your diary. If no - it's coming for you eventually, and the Swiss franc story is why. What's your guess: what invisible thing ate that profit?*

What you'll learn

- Going long vs going short
- The bid-ask spread (and how it blew out on January 15, 2015)
- Slippage - and when it hurts most

Long vs short

Going long = buying first, selling later. Profit when price rises.

(Buy at 100, sell at 110 -> +10.)

Going short = selling first, buying back later. Profit when price falls.

(Sell at 100, buy back at 90 -> +10.)

Shorting feels strange to beginners ("how can I sell what I don't own?"), but in futures and intraday equity your broker facilitates it - you settle the difference in cash.

And the franc story shows why it matters: while EUR/CHF longs were being destroyed, traders short EUR/CHF - or long CHF - made some of the fastest money in currency history.

> ***Key insight:** long and short are symmetric. Professionals are as comfortable shorting as buying.*

The bid-ask spread

At any moment there are two prices:

- **Bid** - the highest price a buyer is currently offering
- **Ask** - the lowest price a seller is currently accepting

The gap = the **spread**, and you always pay it: buyers lift the ask, sellers hit the bid.

	Bid	Ask	Spread
Liquid stock (e.g., Reliance)	500.00	500.05	Rs 0.05 (tiny)
Illiquid stock	100.00	101.20	Rs 1.20 (1.2%!)
EUR/CHF, Jan 15 2015, ~9:31 AM	"who knows"	"who knows"	effectively unmeasurable

On liquid instruments the toll is negligible. On illiquid ones - and in panics - the

spread alone can exceed your entire expected profit.

Slippage

Slippage = the difference between the price you *expected* and the price you *got*:

- **Market orders** in fast markets (you take whatever's left in the queue)
- **Gaps** - price jumps over your level between click and fill
- **News shocks** - liquidity vanishes for seconds (the SNB morning)

Slippage is usually tiny - until the one day it isn't. Stops don't guarantee prices; they guarantee an exit, at whatever the market gives. On January 15, 2015, many stop losses on CHF pairs filled 10-20% away from their triggers. The stops worked exactly as designed. The design has limits.

The practical rules

1. Trade liquid instruments only - check average daily volume first.
2. Limit orders for entries (you choose your price).
3. Size positions so a slippy stop *hurts, never kills*.
4. No new trades into major news events - the SNB taught the world that lesson free of charge.



The spread: a small toll in liquid stocks, a wall in illiquid ones

Day 7 - The Three Types of Analysis

Three men, one housing market, three completely different trades

In 2005-2007, while Wall Street was printing money on US housing, three very different analysts looked at the same market:

The fundamental analyst - Michael Burry's team at Scion Capital - read thousands of mortgage documents, ran the default math, and concluded the loans inside mortgage bonds were garbage. They bought insurance against those home-loan bonds failing, and held it for about a year and a half while looking *wrong* - the trade bled money until it didn't.

When 2008 came, Scion made roughly **$700 million** for its investors. His lens: *"what is this actually worth?"*

The technical analyst didn't need to read a single loan file. By 2007, charts of homebuilder stocks, mortgage insurers, and bank indices had broken their multi-year uptrends - lower highs, neckline breaks - months before the headlines. The price action *told* you credit was cracking. His lens: *"what is price doing right now?"*

The sentiment analyst watched the crowd: in 2006-07, CNBC ran "flip this house" segments, taxi drivers discussed condo pre-sales, and mortgage originators handed loans to anyone with a pulse. When *everyone* is bullish and the last skeptic has bought - that's not confirmation, that's exhaustion. His lens: *"what is everyone feeling?"*

One market, three lenses, three valid edges. Today you learn all three - and which one this course is built on.

> *Ask yourself: **Pick one, honestly:** three lenses - worth (A), behavior (B), mood (C). Which one have YOU actually been using till now, even accidentally? Most people are quietly shocked when they realize. Note A, B, or C - no judgment, we all start somewhere.*

What you'll learn

- Technical, fundamental, and sentiment analysis
- What question each one answers
- Which style fits which trader

1. Fundamental analysis - *"What is it worth?"*

Revenue, profits, debt, management, industry trends, macro. Home country: investors and position traders. Strength: catches big moves early, ignores noise. Weakness: *"the market can stay irrational longer than you can stay solvent"* - Burry's investors nearly pulled out before the payoff, because being early looks exactly like being wrong.

2. Technical analysis - *"What is it doing right now?"*

Trends, levels, patterns, volume - no opinions, only behavior. Works on anything liquid (Nifty, gold, Bitcoin, USDINR - same rules); gives exact entries, stops, targets.

Weakness: reads the *present*, not the future.

3. Sentiment analysis - *"What is everyone feeling?"*

Put-call ratios, open interest shifts, funding rates, news euphoria. Extremes in sentiment often mark tops (2007 housing) and bottoms (March 2020, when panic peaked and so did the selling). Weakness: hard to time; the crowd can stay greedy for a long time.

[chart] CHART NEEDED: `charts/L1-07-three-analyses.png`

INSTRUMENT / TIMEFRAME: One stock - daily - last 6 months

MUST SHOW (three annotation styles on the SAME chart):

- Fundamental: an earnings date + arrow "earnings gap - business repriced"
- Technical: trendline + support zone + breakout arrow
- Sentiment: at a local top, "news euphoria, everyone's bullish -> reversal"

Which one do you use?

> ***Fundamentals decide what to watch. Sentiment warns when the crowd is extreme. Technicals decide when and where to pull the trigger.***

Why this course teaches technicals first

Exact, testable rules (enter here, stop here, target here); works across every liquid market; fundamentals can be added later as a filter, sentiment as a warning light.

The Indian story: Paytm's listing and Reliance's raise - the same year, opposite lenses

2021 gave you both lenses in one year. **Fundamental:** in April-June 2020, while the market was crashing, Reliance Industries raised **Rs 1.52 lakh crore in 58 days** selling stakes in Jio - investors read the *business* and paid up even mid-panic. The stock led Nifty's recovery. **Sentiment:** in November 2021, Paytm's IPO listed at Rs 1,955 against a Rs 2,150 issue price and closed **?27% on day one**, then fell toward Rs 500 as IPO euphoria

- India's own dot-com moment - deflated. Everyone wanted in; the crowd's excitement WAS the warning. Same market, same year: one trade from the fundamentals, one lesson from the mood.

Key takeaways

- Fundamental = worth - Technical = behavior - Sentiment = mood. (2008 showed all three working in parallel.)
- Professionals blend all three; beginners master technicals first.
- Every tool answers a different question - confusion comes from asking the wrong tool.

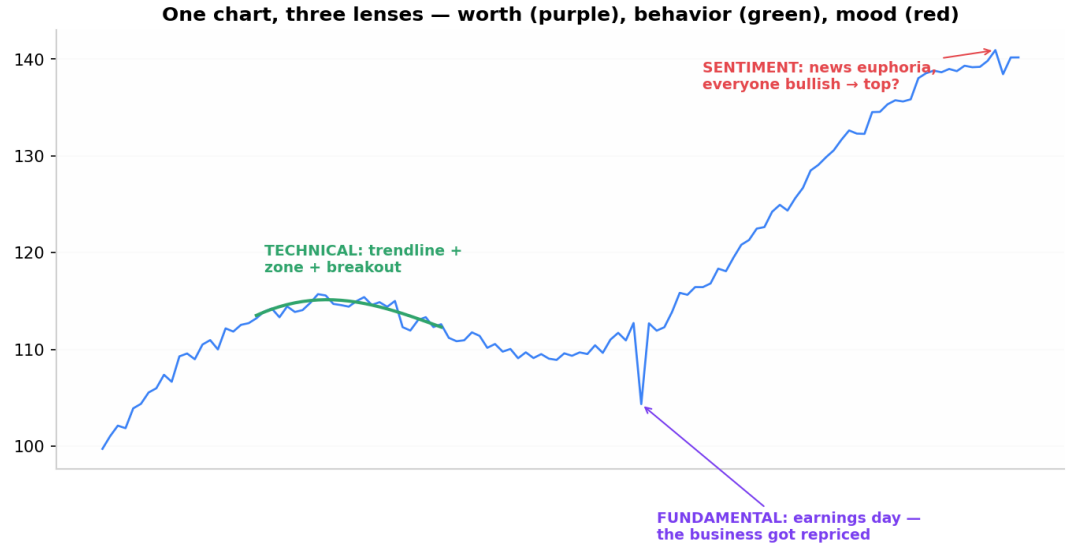
Quick check (done)

1. Which analysis type gives you an exact stop-loss level?
2. "The stock is undervalued, I should buy" - which lens? What's its risk?
3. At an extreme bullish sentiment, a contrarian starts thinking about...?

Today's action step

Open the chart of one stock you like. Ask the three questions out loud - What is it worth? What is it doing? What is everyone feeling? Notice how each question pulls you toward a different decision. That awareness is the lesson.

Answers: 1 - Technical - 2 - Fundamental; can stay "undervalued" (falling) far longer than expected - 3 - Selling/shorting, or at least taking profits



One chart, three lenses: worth, behavior, mood

Day 8 - Find Your Trading Style (Level 1 Finale)

The Turtle experiment - proof that style is a system, not a personality

In 1983, two legendary commodities traders made a bet. Richard Dennis believed great traders were **made** - teachable. His partner Bill Eckhardt believed they were **born**.

To settle it, Dennis recruited about 20 people with *no trading experience* - a security guard, a blackjack player, an accountant - gave them a simple mechanical trend-following system and strict risk rules, and let them trade real money.

The "Turtles" went on to earn a reported **$175 million+** in aggregate. Here's what matters for today's lesson: the Turtle system was a **swing/position system**. It held trades for days to weeks, risked a fixed small fraction per trade, and ignored all intraday noise. Dennis deliberately picked the style * beginners could execute without losing their minds - *not the fastest, not the flashiest, the* survivable* one.

Forty years later, the lesson is unchanged: the best style for you isn't the one that makes the most money in theory - it's the one your life and your nervous system can execute without breaking. Today you pick yours. Then you take the Level 1 quiz.

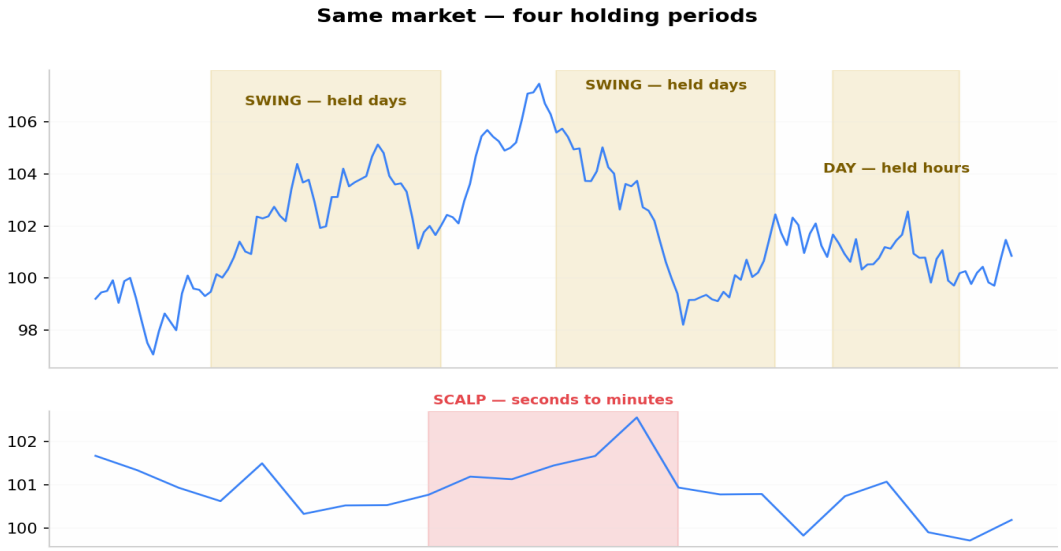
> *Ask yourself: **Gut-check, no thinking:** you enter a trade, and ten minutes later your phone shows it's down 3%. What's your honest first move - (a) refresh every two minutes, (b) close the app and check after lunch, or (c) buy more at the "discount"? Note a, b, or c. Your answer matters more than any quiz in this level.*

What you'll learn

- The four trading styles
- How to choose yours based on time and personality
- Level 1 final quiz (10 questions)

The four styles

Style	Holding period	Time needed	Stress level
Scalping	Seconds-minutes	Full day, fast reflexes	Extreme
Day trading	Minutes-hours	Market hours, focused	? High
Swing trading	Days-weeks	30-60 min/day, after close	Medium
Position trading	Weeks-months	A few hours per week	Low



Four trading styles on the same market

LEVEL 2 — THE TECHNICAL TOOLKIT

Days 9–16 · Levels, trends, patterns, indicators

Day 9 - Support & Resistance: Levels That Actually Matter

The level that rejected Bitcoin four times - then made the trade of the decade

Between mid-2019 and mid-2020, Bitcoin ran into roughly the same zone - $10,000 to $10,500 - **four separate times**. Every visit, sellers slammed it back: June 2019 (pumped to $13,800 on the Libra hype, collapsed), October 2019 (China blockchain speech pump, rejected within 48 hours), February 2020 (broke $10k, then COVID destroyed everything), and July 2020 (poked above, pulled back one more time).

Think about what was happening at that zone: every trader on Earth could see $10k. The people who bought the June 2019 top and watched -50% were *waiting* at their breakeven to sell. Short sellers who'd won four times *expected* it to hold again and placed sell orders. It wasn't magic - it was **unfinished business and remembered pain**, stacked on top of each other at one price.

Then, at the end of July 2020, Bitcoin closed above the zone decisively - and over the next five months ran from about $10,000 to **$42,000**. The fifth test wasn't the charm. The fifth test was the *break* - because by then the sellers had spent their ammunition across four failed defenses. That's the pattern you'll learn today, and it plays out on Nifty every single quarter.

> *Ask yourself: **Ten-second exercise:** open any chart right now and find the single most obvious horizontal level - the price your eye lands on first. Found it? Good. Now guess: why is your eye drawn there? Because it's special... or because thousands of other traders' eyes are too? What do you think?*

What you'll learn

- Why support and resistance exist (the real reason - the $10k story IS the reason)
- How to draw zones instead of lines
- How to judge which levels are strong

Why S/R exists: market memory

Every price on your chart is a price where real money changed hands. People remember:

- **Support** = a zone where price fell to before, buyers stepped in, and price rallied.

The buyers who missed it return; shorts from higher up buy back there. The zone fills with buy orders.

- **Resistance** = the mirror image: a zone where price rallied to before and got rejected. Sellers who missed the exit re-sell there.

> *S/R works because of unfinished business and remembered pain - not line-drawing magic. When millions of traders watch the same obvious level, their orders make it real.*

Zones, not lines

Beginners draw thin lines; professionals draw boxes. Price almost never reverses at an exact tick - it reverses within a band, because different participants place orders at slightly different prices.

(done) Diagram already made: `charts/generated/L2-09-sr-zones.png`

(Notice: price touches the zone, not the line - sometimes poking *through* it briefly before reversing. That poke is a "stop hunt," and it's exactly why your zone needs width and your stop needs to sit beyond the zone, not inside it.)

How to mark levels properly

1. **Start on the daily chart.** Drop to lower timeframes only after the daily map is done.
2. Mark every **swing high/low** your eye catches in two seconds. If you have to squint, it's not a level.
3. Convert each swing point into a **zone** covering the wick extremes of the turning area.
4. Mark **round numbers** - Bitcoin's $10k, Nifty's 24,000, stocks' Rs 500/Rs 1,000. Humans place orders at round numbers instinctively.
5. Mark **prior day/week high and low** - day traders watch these religiously.
6. Delete everything else. **Three to five zones per chart maximum.** More lines = more excuses to take bad trades.

What makes a level strong?

Factor	Strong level	Weak level
Touches	2-4 clean rejections	1 touch (untested)
Rejection style	Fast, violent (long wick)	Slow drift into it
Timeframe	Daily/weekly levels	5-minute levels
Volume at touch	High-volume rejection	Thin, quiet touch
Age	Recent (weeks-months)	Ancient (years)
Confluence	Round number / prior level / MA	Stands alone

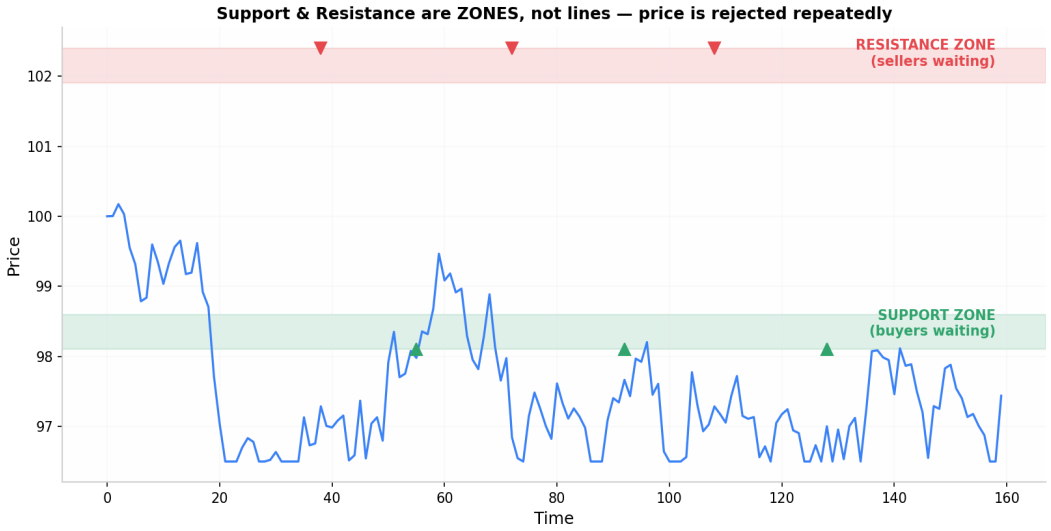
The paradox: after 4-5 touches, a level gets *weaker*, not stronger - each visit consumes the waiting orders. Bitcoin's $10k died on its fifth test. The level that's "held five times" is often one visit from breaking violently.

Role reversal: the flip

When support breaks decisively (full body close below the zone, on volume), it very often becomes resistance on the retest. Sellers defend their breakeven; new shorts pile in. This single concept - *trade the flip, not the break* - becomes the backbone of your pullback entries on Day 22.

> *NOTE: ? **Common beginner mistakes** 1. A level at every swing point until the chart looks like a barcode. 2. Trading the first touch - the first approach to a level is information; the trade comes from how price reacts there. 3. Stop loss inside the zone (the stop hunt eats you) - stops go beyond the zone. 4. Moving a*

"broken" level to make it fit. A level that broke is history.



Support and resistance are zones, not lines

Day 10 - Trendlines & Channels

The channel that carried oil to $147 - and the line that warned the crash

From early 2007 to July 2008, crude oil climbed inside one of the cleanest channels in commodity history: from around $60 to a peak of **$147.27 on July 11, 2008**. Along the way, every pullback found buyers near the lower rail - roughly three touches - and every rally stalled near the upper rail. Traders who simply *rode the hallway* made fortunes while analysts debated peak oil.

Then the channel broke. Not dramatically at first - just a slide through the lower rail in July-August 2008, exactly the "warning, not signal" behavior you'll learn today. By December, oil traded near **$33** - a ?77% collapse in five months. The trendline break didn't predict the global financial crisis. It simply told anyone watching that the auction had changed hands: buyers no longer defended the lower rail. Months of headlines later, the headlines agreed with the line.

Today you learn to draw that line honestly - and, more importantly, to read its break honestly: as a warning, not an alarm.

> *Ask yourself: **Fun one:** do you think a trendline works because of geometry... or because of people? Take a side before you read on - reply with your pick. Fair warning: the Sensex's journey from 3,000 to 21,000 has a strong opinion on this.*

What you'll learn

- How to define and identify a trend objectively
- Drawing trendlines that are actually respected
- Using channels to plan entries *and* exits

What is a trend, objectively?

Strip away the jargon and a trend is just a pattern of swings:

- **Uptrend** = higher highs (HH) + higher lows (HL).
- **Downtrend** = lower lows (LL) + lower highs (LH).
- **Range** = neither - price oscillates between two horizontal zones (yesterday's lesson).

> *"The trend is your friend" is incomplete. The full version: **the trend on your timeframe is your friend.** Oil in 2008 was a monster uptrend on the daily - and a terrifying downtrend by September, on the same chart, in the same year.*

Drawing trendlines without fooling yourself

1. In an uptrend, connect at least **two higher lows**. Two points define the line;

a **third touch confirms** it. Two touches is a hypothesis, not a level.

2. Connect the **wicks** - the extremes are where the actual fight happened.
3. Extend it forward. No adjusting to fit more points. If price slices through and your

"trendline" looks silly, it was wrong - delete and redraw from the new structure.

Reading the trendline

- **Respect** = price falls to the line, wicks it, bounces. Trend healthy.
- **Breaking the line** ? trend over. A trendline break is a *warning*, not a signal.

What ends a trend is price making its **first lower low** - structure breaking, not a line breaking. Oil's lower rail broke in July 2008; the *trend* truly ended when rallies started failing at lower highs and the August-September swings broke down.

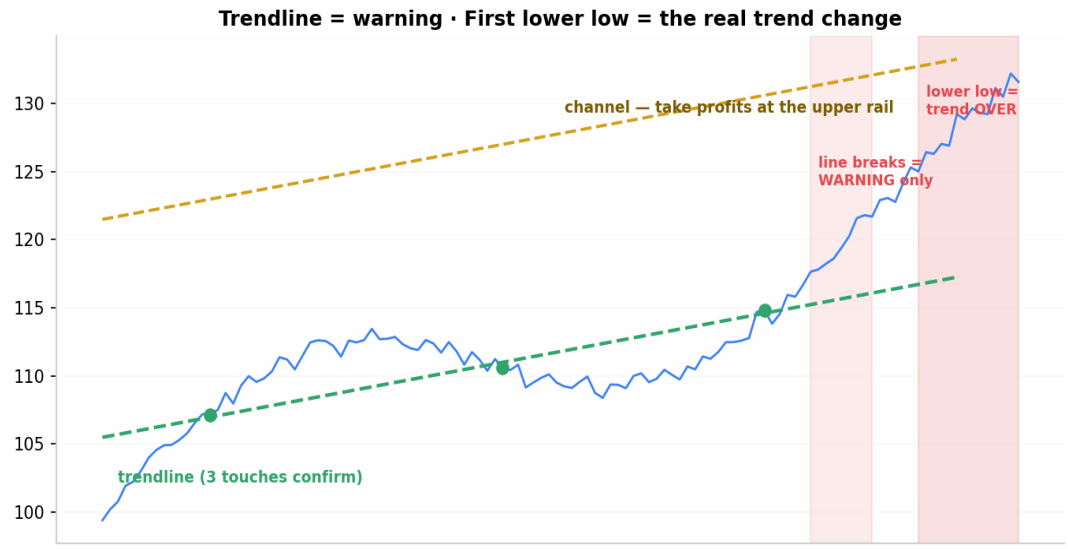
NOTE: ? **Common beginner mistake:** treating every trendline break as a reversal signal and shorting a raging uptrend. The pros fade trendlines maybe 20% of the time; beginners try it 80% of the time because it "feels smart."

Channels: the trend's hallway

Draw a line parallel to your trendline, anchored at the intervening high (uptrend). Price now travels in a hallway:

- **Lower rail (uptrend)** = the buy zone. Pullbacks to it are the highest-probability entries in trending markets (2007-08 oil paid these repeatedly).
- **Upper rail** = the profit-taking zone. First touch in a mature trend = bank partial profits, not add.

A decisive close **outside** the channel = the trend is either accelerating (a new, steeper channel forms) or ending (like oil, July 2008). You don't know which yet - reduce size and let structure tell you.



Trendline = warning · first lower low = trend over

Day 11 - Candlestick Patterns: Only the 5 Worth Knowing

The hammer that ended the fastest crash in history

March 23, 2020. The S&P 500 had fallen 34% in 23 trading days - the fastest bear market ever recorded, Nifty crashing in lockstep, circuit breakers tripping, headlines screaming depression. On that Monday, the S&P printed a daily candle with a long lower wick and a small body near the top of its range - in the old language, a **hammer**.

Now, here's what separates traders from pattern-collectors: a hammer in the middle of nowhere means nothing. This hammer meant something, because it appeared *after an extended move *(34% down),* at a level* (the prior 2018-19 consolidation zone the whole world was watching), with *panic volume* (the highest in history). Buyers hadn't just appeared - they had absorbed the largest stampede of sellers in a decade and pushed the close well off the lows.

The next five months: S&P **+50%**, new all-time highs by August. Nobody knew COVID would "resolve." The candle didn't know either. It only reported what the auction did that day: sellers exhausted, buyers in control. Today you learn to read those reports - and to ignore every pattern that isn't sitting at a level.

> *Ask yourself: **Be really honest:** that March 2020 hammer - the candle that ended the fastest crash in history - do you think YOU would have bought it, in real time, while the news was apocalyptic? Note yes or no. Either way, we'll replay exactly what it felt like by the end of today - and you'll see what the buyers saw.*

What you'll learn

- The 5 patterns that matter and what each one says
- Why context decides whether a pattern works or fails
- How to trade a pattern without getting trapped

The golden rule of all patterns

> ***A pattern at a random location is just a shape. The same pattern at a major level, after a strong move, with a trend behind it is a signal.***

Before you care about the candle, ask: (1) Are we **at a level**? (2) Has price **travelled** to get there? The March 2020 hammer passes both tests; a hammer on a quiet Tuesday in the middle of a range fails both.

The 5 patterns that matter

1. Pin bar (hammer / shooting star)

One long wick (2-3x the body), tiny body at the opposite end.

- **Says:** price was pushed hard one way and violently rejected - like March 23, 2020.
- **Trade it:** at levels, in the direction of rejection. A hammer at support = buyers

defending; a shooting star at resistance = sellers defending.

2. Engulfing

A candle whose body completely swallows the previous body, opposite direction.

- **Says:** one side seized complete control of the period.
- **Trade it:** after a pullback within a trend - a bullish engulfing at a rising

trendline is one of the cleanest entries that exists.

3. Inside bar

A candle entirely inside the previous candle's range.

- **Says:** volatility contraction; a decision is coming.
- **Trade it:** as a breakout trigger - buy the break of the *mother* candle's high

(with the trend). The inside bar itself isn't the signal; its break is.

4. Doji (at extremes only)

Open ? close; a frozen tug-of-war.

- **Says:** indecision - meaningful *only* after an extended move or at a major level.

A doji after a 12-day rally at resistance is a warning; a doji mid-range is wallpaper.

5. Morning star / evening star (3-candle)

Strong candle -> tiny stall candle -> strong opposite candle.

- **Says:** momentum handover. Rarest of the five, strongest at the right place.

Reliability ranking (at a level, with trend)

1. Engulfing at a pullback level
2. Pin bar at a level
3. Morning/evening star at a level
4. Inside-bar breakout (trigger, not standalone)
5. Doji (warning light, not entry)

[chart] CHART NEEDED: `charts/L2-11-candlestick-patterns.png`

INSTRUMENT / TIMEFRAME: One liquid stock - daily - last 6 months

MUST SHOW (circle and label all five, each AT a level):

- 1 pin bar AT support/resistance
- 1 bullish engulfing after a pullback in an uptrend
- 1 inside bar with a tradable break
- 1 doji at an obvious extreme (aftermath visible)
- 1 morning or evening star at a level

*NOTE: ? **Common beginner mistakes** 1. Trading every pattern instead of every pattern at a level. 2. Entering on the pattern candle itself - the standard play is the break of the signal candle's extreme, stop beyond its other end. 3. Memorizing exotic names (kicking, tasuki, ladder bottom). Nobody's P&L ever depended on a "unique three river bottom."*

The Indian story: Nifty's own COVID hammer

You don't have to look at the S&P for the March 2020 lesson - Nifty printed its own. After the circuit-frozen panic of March 13 and the 7,511 low on March 23, Nifty's candles showed the same signature: panic selling being absorbed. When the government announced the nationwide lockdown on March 24 - seemingly the worst possible news - Nifty stopped falling and began recovering. The candles were reporting what headlines couldn't: the sellers were exhausted, and someone was absorbing everything they threw. From 7,511, Nifty added roughly **85% in eight months**. Every Indian trader saw those candles in real time. Today you know how to read the next ones.

Key takeaways

- Pattern + level + trend = signal (March 2020's hammer had all three).
- The 5: pin bar, engulfing, inside bar, doji (extremes only), morning/evening star.
- Enter on the break of the signal candle, stop beyond its far end.

Quick check (done)

1. Why is a pin bar in the middle of a range worthless?
2. What does an inside bar actually signal, and how do you trade it?
3. Where should the stop go on an engulfing entry?

Today's action step

Open 10 charts. Find one of the 5 patterns **at a level** on each and write what happened in the next 5 candles. Bring the count to 20 over the week - by then you'll *feel* which patterns your market respects, the same way you now know what the March 2020 hammer was really saying.

Answers: 1 - No level = no cluster of orders; random noise -

2 - Volatility contraction -> trade the break of the mother candle's high/low, with trend -

3 - Beyond the far end of the engulfing candle

The only five candlestick patterns worth knowing — each at a level

Day 12 - Chart Patterns: Double Tops, Triangles, Flags

The head & shoulders that announced ?78% - while the headlines stayed bullish

Between March 2000 and September 2001, the Nasdaq Composite built one of the most famous structures in chart history: a **head and shoulders** topping pattern. Left shoulder near 5,000 in March 2000. Head - the final blowoff top at **5,132 on March 10, 2000** (the dot-com peak). Right shoulder through 2001: a lower high near 2,300-2,400, visibly weaker. Then the neckline broke.

Here is what makes this story unforgettable: *the news stayed bullish the entire time.* "New economy." "It's different this time." Analysts were still upgrading internet stocks as the neckline gave way. The pattern didn't read the news - it read the *transfer of power*: each rally was making a lower high because the buyers of March 2000 were trapped, and every bounce was distribution. By October 2002, the Nasdaq traded near **1,114** - down **78%** from the head. The technicians who trusted the shape were out a year before the economists admitted what had happened.

Today you learn that shape - and its five siblings.

> *Ask yourself: **Trust your eyes first:** look at the shape of the Nasdaq 2000-2001 chart in today's story - the rise, the bump, the lower bump, the slide. Without knowing a single rule... does that shape look like something ending to you? Note your raw instinct. Today we give that instinct rules.*

What you'll learn

- The 6 chart patterns worth knowing
- How to project targets with measured moves
- Why volume is the pattern's lie detector

Two families

- **Reversal patterns** appear after an extended move and signal exhaustion: double top/bottom, head & shoulders.
- **Continuation patterns** appear *mid-trend* as the market catches its breath: flags, pennants, triangles. They resolve in the trend's direction more often than not.

The 6 patterns that matter

1. Double top (M)

Two rallies to the same zone, the second weaker, then a break below the middle low (the **neckline**). The crowd that bought the second top is trapped; their exits fuel the fall.

2. Double bottom (W)

The mirror: two dips to the same zone, the second holds, break above the neckline. Trapped shorts fuel the rally. **Complete only when the neckline breaks** - before that it's just two lows.

3. Head & shoulders / inverse

Left shoulder -> higher head (final euphoria - Nasdaq, March 2000) -> lower right shoulder (buyers exhausted). Neckline break = confirmation. It works because it visibly maps the transfer of power from buyers to sellers.

4. Bull flag / pennant

A sharp near-vertical rally (the **flagpole**) followed by a small downward drift (flag) or contraction (pennant). The drift is profit-taking, not reversal. Break of the flag's upper edge continues the move.

5. Symmetrical triangle

Lower highs + higher lows converging - compression. Trade the breakout either way, with volume as the judge.

6. Ascending/descending triangle

Flat edge on one side (a real wall of orders), sloping edge on the other. Flats held 3+ times are powerful; the break of the flat side is often explosive.

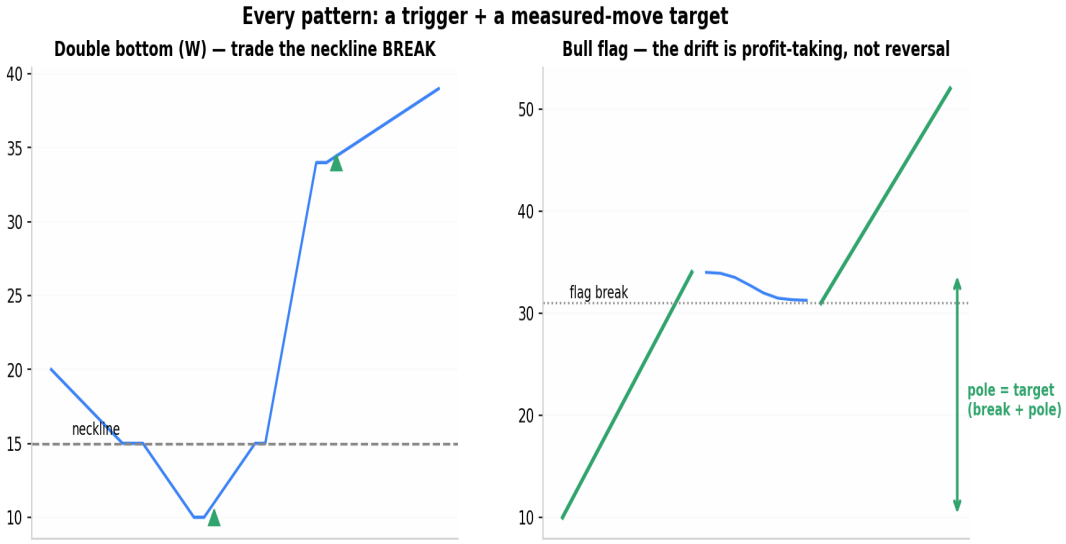
The measured move: how to set targets

Target = breakout point ± the pattern's height

Double bottom with 100 points between lows and neckline -> target = neckline + 100. Flag with a 200-point pole -> target = flag break + 200. You don't need to believe it - log it over 30 trades and let your own data convince you (Day 28 makes this systematic).

Volume: the pattern's lie detector

What you see	What it means
Pattern forming on *declining* volume	Healthy - sellers drying up / buyers resting in flags
Neckline break on big volume	Confirmed - trapped side rushing out
Breakout on weak volume	Suspect - likely a fakeout (Day 22)
Second top on *higher* volume with no price progress	Distribution - strong hands unloading into excitement. Extra bearish.



Every pattern: a trigger plus a measured-move target

Day 13 - Moving Averages

The line that saved investors in 2008 - and the crosses that lie on schedule

From January 2008 to March 2009, the S&P 500 fell roughly 57%. For almost that entire period - over a full year - the index traded **below its 200-day moving average**, and every rally back toward the line was sold. An investor with one rule - "I'm long only above the 200-day" - would have sidestepped the worst crash since the Depression, then been back in by May 2009 when price reclaimed the line. No prediction. No genius. One filter.

Now the cautionary tale. Fast forward to March 14, 2022: the S&P printed a "death cross" (50-day crossing below the 200-day) and financial media ran ominous segments. It sounded meaningful - and the market indeed fell further. But flip through history: December 2018's death cross came within days of the *bottom*, and whipsawed bull-market followers. Even in 2022, by the time the cross printed, half the decline was already over.

Same indicator. One use saves you in 2008; the other use fakes you out in 2018. Today you learn the difference - and it's the difference between using moving averages and being used by them.

> *Ask yourself: **Honest one:** in 2008, Nifty stayed below its 200-day average for 17 months. Do you think you could have stayed out that long while everyone around you was "buying the dip" every single month? What would you actually have done - reply with your honest answer, because this test comes for every trader eventually.*

What you'll learn

- What a moving average really is (the psychology inside the math)
- SMA vs EMA - and why the difference rarely matters
- The 20/50/200 framework: filter, dynamic level, pullback entry

What a moving average actually is

A 50-day moving average is the average price of the last 50 days - the average opinion of the last 50 days' buyers and sellers. Price above it means the average participant is profitable and calm; below it means the average participant is losing and anxious.

The MA is a map of the crowd's mood and cost basis. In 2008, price below the 200-day meant the average buyer of the last year was underwater - every rally met their breakeven selling. That's why the line held as resistance for 14 months.

- **SMA** weights all days equally; **EMA** weights recent days more. For today's uses they behave almost identically - pick EMA and be done.

The 20 / 50 / 200 framework

MA	Timeframe	What it represents
20 EMA	~1 month of trading days	The swing trader's line - momentum pulse
50 EMA	~1 quarter	The intermediate trend
200 EMA/SMA	~1 year	The big trend - bull/bear divide

These numbers work *because everyone uses them* - self-fulfilling tools are the best kind.

Use 1 - The trend filter (the 2008 lesson)

> ***Only take longs when price is above the 200 MA on your trading timeframe. Only take shorts when below it.***

This one filter eliminates the majority of beginner losses, because most losses come from fighting the main trend. You will be amazed how much of "skill" is just refusing to fight the 200.

Use 2 - Dynamic support/resistance

In clean trends, price respects the MA instead of horizontal levels:

- Strong uptrends repeatedly bounce **off the 20 EMA**.
- Each touch-and-hold confirms the trend; the day the bounce fails is an early warning - in 2008, the failed retests *of the 200-day from below* were the tells.

Use 3 - Pullback entries

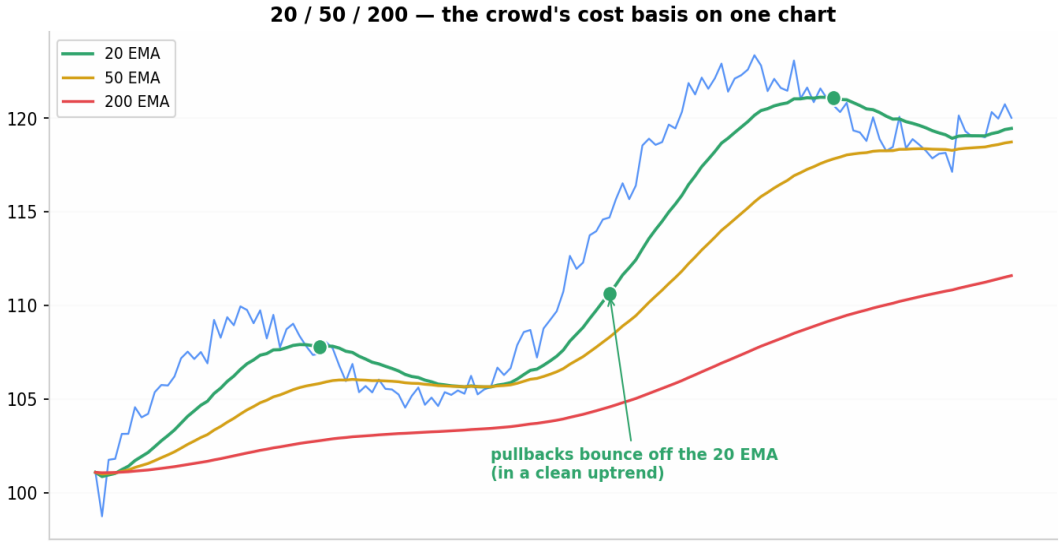
The institutional bread-and-butter:

1. Price above rising 50/200 -> uptrend confirmed.
2. Pullback to the 20 EMA stalls.
3. Enter on the first bullish sign at the MA (engulfing, pin bar - yesterday's patterns), stop below the pullback low.

You bought the average cost of a month of traders in an established uptrend, with a level right under your stop. Simple, boring, profitable - the anti-2008.

Crossovers: understand the lag

A "golden cross" (50 above 200) sounds magical and arrives *months* late - the 2009 golden cross confirmed a recovery that was already +40% off the bottom. Treat crossovers as **regime confirmations**, not entry triggers: they tell you the tide has turned, not where to buy today. Entries still come from levels and pullbacks.



20 / 50 / 200 — the crowd's cost basis on one chart

Day 14 - RSI & MACD: The Two Workhorses (and Their Traps)

The divergence that called the top of the crypto mania

Bitcoin made its first major top on **April 14, 2021, near $64,800** - the Coinbase listing euphoria. It crashed 53% by May, recovered over the summer, and then in November made a *new all-time high*: about **$69,000** on November 10, 2021. The headlines were ecstatic - new high! The bulls were right all along!

But look under the hood at the RSI. In April, momentum peaked with price. In November, price made a higher high - and RSI made a clearly **lower high**. The market needed more and more buying effort to produce less and less upward progress. Under the surface, momentum was dying. That single divergence was the last warning before a bear market that took Bitcoin to roughly **$15,500** - a **?77%** decline.

Meanwhile, remember May 19, 2021? RSI had screamed "oversold" days *before* the crash bottomed - and kept screaming while price fell another 30%. Traders who treated "oversold" as a buy signal got run over by a train going downhill.

Both stories in one asset, within six months. That is today's lesson: indicators don't lie - beginners just ask them the wrong questions.

> *Ask yourself: **The trap test:** Bitcoin made a brand-new all-time high in November 2021 - higher than ever! If you'd seen only the price chart, what would you have thought? "To the moon" or "something's off"? Note your gut call - then learn what the buyers at the top never saw.*

What you'll learn

- What RSI really measures (it is not "overbought/oversold")
- MACD as a momentum regime meter
- Divergences: the single best use of both

RSI - the momentum speedometer

RSI (14-period) measures the *speed and size of recent gains vs recent losses*, 0-100.

The trap: "RSI 70 = sell"

In a strong uptrend, RSI lives at 60-80 for weeks. In 2020-21, Bitcoin's uptrend spent months with RSI pinned "overbought" while price tripled. **Overbought is not a sell signal in a trend - it's a feature of one.** The May 2021 "oversold" buyers learned the mirror-image lesson.

The three correct uses

1. Regime reading (the best one):

- Uptrend: RSI dips to **40-50** and turns up = trend healthy = the pullback buying zone.
- Downtrend: rallies to **50-60** and roll over = downside healthy.

- **In uptrends buy the 40-50 dip, don't sell the 70 reading.**

2. Divergence (the November 2021 lesson):

Price makes a new high, RSI makes a *lower* high -> momentum fading. It doesn't time the top (nothing does) - it ends your aggression and tightens stops. Then the structure break does the timing.

3. Failure swings (advanced) - note them, master the first two uses first.

MACD - momentum's center of gravity

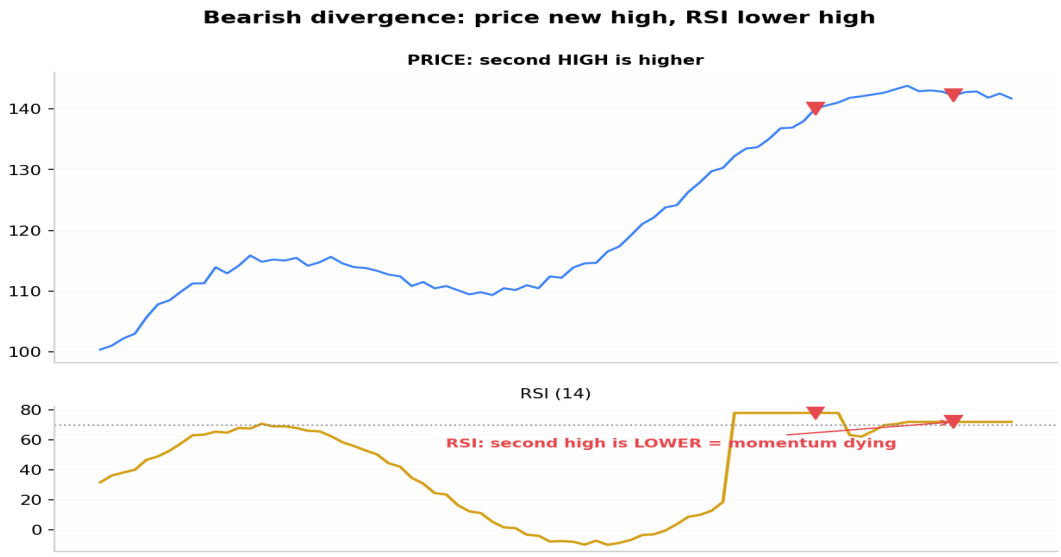
MACD = 12-EMA minus 26-EMA, with a 9-EMA signal; the **histogram** shows acceleration.

1. **Zero line = regime.** Above = bullish momentum vote - a second filter beside the 200 MA. Two agreeing filters beat one.
2. **Histogram turns = momentum shifts.** Histogram shrinking for days while price still rises = momentum leaking out -> protect profits (exactly what BTC's histogram did into November 2021).
3. **Crossovers = the noisy layer**, built from averages of averages - lagging. Trust them only **at the zero line**, with trend.

The divergence playbook (your #1 takeaway from today)

1. Price makes new high after a long run -> check RSI.
2. RSI makes a *lower* high -> note it, tighten trailing stop. **Do not short yet.**
3. Price breaks its last swing low while RSI stays elevated -> confirmation; now the pullback trade is on.

Divergences warn (November warned). Structure breaks confirm. You trade the confirmation, protected by the warning.



Bearish divergence: price makes a new high, RSI doesn't

Day 15 - Fibonacci Basics (Without the Mysticism)

The golden ratio and the fastest recovery in market history

Here's a number that will either impress you or annoy you: after the COVID crash - the S&P 500 falling from 3,386 (Feb 19, 2020) to 2,237 (Mar 23, 2020), a ?33.9% collapse in 23 trading days - the recovery stalled almost exactly where Fibonacci mathematics said it should. The 61.8% retracement of that crash sat near **2,947**. In late May and early June 2020, the S&P reached that zone... hesitated... digested for a few weeks... and then broke through and never looked back, hitting new all-time highs by August.

Did the "golden ratio" cause that? Of course not. But here's the honest mechanism, and it's more useful than magic: **tens of thousands of funds, algos, and traders all compute the same retracement levels on the same obvious swing** - and place orders there. The 61.8% zone became a dense band of real buy orders simply because everyone was watching it. Self-fulfilling levels are still levels.

Today you learn to use that crowd behavior - correctly anchored, with confluence, and zero mysticism.

> *Ask yourself: **Choose your reaction:** a ratio from sunflower seeds and snail shells apparently moves stock prices. Is your first instinct (a) fascinating, (b) nonsense, or (c) who cares, show me the money? Note a, b, or c - all three turn out to be partly right, and by the end of today you'll know exactly which part.*

What you'll learn

- The retracement tool and the levels that matter
- How to draw it correctly (most people draw it wrong)
- Using Fibonacci as a zone-confirmation tool, not a prediction tool

The tool and the levels

The **Fibonacci retracement** measures how much of a move has been "given back" in a pullback. Drawn from a swing low to a swing high (in an uptrend):

Level	Name	Why it matters
38.2%	Shallow retracement	Strong trends barely dip here
50%	Halfway back	Not even a Fibonacci number - but the crowd watches it
61.8%	The golden ratio	The deepest "healthy" retracement - where the S&P stalled in June 2020
78.6%	The last defense	Beyond this, the move is usually over

> *These levels work because **everyone uses them.** Use them like S/R zones from Day 9 - they ARE popular S/R zones with extra participants.*

Drawing it correctly - where beginners fail

1. **Uptrend retracement:** anchor at the **swing low** (start of the move) -> drag to the

swing high (end). You're measuring the pullback *into* the up-move.

2. Use the **wicks/extremes**, not arbitrary candle bodies - the S&P anchor was the March 23 *low*, the exact panic extreme.

3. Draw on the timeframe of the move you're trading. A daily swing -> daily Fibonacci.

The golden zone: the 50-61.8% band is where high-quality pullbacks in strong trends tend to terminate - deep enough to shake out weak holders, shallow enough to keep momentum intact. June 2020 was the world watching that band hold.

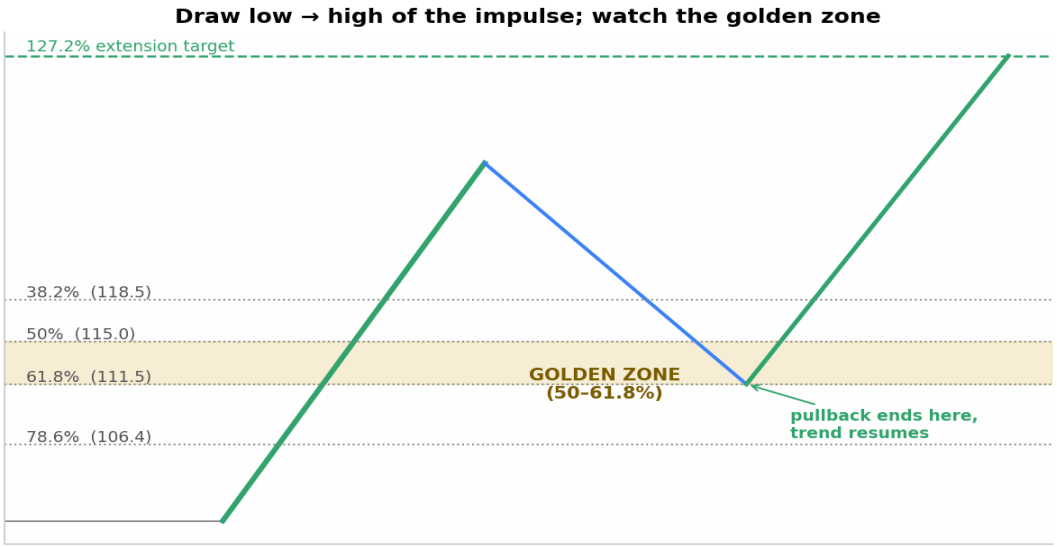
How to actually use it

Fibonacci's highest value is **confluence** - it rarely works alone:

- Fib 61.8% + prior support zone + 50 EMA = a triple-confirmed buy zone. Take the trade.
- Fib 38.2% floating in empty space = a coin flip. Skip it.

Simple grading: 2+ independent tools agreeing at one price -> A-grade - 1 tool -> B-grade, half size - Fibonacci alone -> no trade.

For **targets**, use the mirror - **extensions** (127.2%, 161.8%): after a breakout, project the next leg. Two independent target methods agreeing (extension + measured move) is a strong sign.



Draw low to high of the impulse; watch the golden zone

Day 16 - Multiple Timeframe Analysis (Level 2 Finale)

The day Meta lost $230 billion - and how three timeframes would have read it

On February 2, 2022, Meta (Facebook) reported earnings after the close: slowing growth, heavy metaverse spending. The next morning the stock opened down and closed **?26%** in a single session - about **$230 billion** of market value, then the largest one-day loss in stock-market history.

Watch that week through three timeframes, the way you will learn today:

• **Daily (bias):** for months before earnings, Meta had been making lower highs from its September 2021 peak - the big picture had already turned down while headlines were still warm. The daily said: *bearish bias.*

• **1-hour (setup):** into earnings day, the stock was compressed under a clear lower boundary near $320 - a defined level where sellers had repeatedly shown up. The 1H said: *sell zone identified.*

• **15-minute (trigger):** the next morning's gap-down open, then a failed retest of the prior day's low from below - the first lower-timeframe structure break. The 15m said: *trigger fired.*

Nobody needed to predict earnings. The top-down process would have had a trader biased short for weeks, with a level, waiting for a trigger - and the trigger printed the morning after, on the largest one-day collapse in history. That's the power of doing things in the right order. Today you install that order.

> *Ask yourself: **Thought experiment:** Meta lost $230 billion in one day. In the week before it happened, which chart do you think you'd have been watching - the daily, the hourly, or the 5-minute? Note your pick. Your answer is, quite literally, why this entire lesson exists.*

What you'll learn

• The top-down analysis workflow

• Why the higher timeframe always wins arguments

• How one trade is built across three timeframes

The top-down workflow

Step	Timeframe	Question	Tools
1	Daily (or 4H)	**Bias** - which direction am I allowed to trade?	200 MA, trend structure, major zones
2	1H (or 15m)	**Setup** - where exactly is my trade zone?	S/R zones, trendline rails, Fib
3	15m / 5m	**Trigger** - what candle/pattern gets me in?	Day 11's patterns, inside-bar breaks

> ***The rule that resolves 90% of confusion:** the higher timeframe's answer outranks the lower's. Daily says down and your 5-minute chart "looks bullish" (as it did inside Meta on January 31)? The 5-minute chart is*

noise. Trade with the daily or stand aside - never against it.

Why lower timeframes lie

A 5-minute chart contains ~75 candles per day - mostly random auction noise around the day's real business. A pattern that "looks perfect" on 5 minutes forms and dies in an hour. Meanwhile the daily level it sits on might have three weeks of institutional orders behind it - like Meta's $320 boundary.

Zooming in doesn't add information - it multiplies *opinions*. Form ONE opinion (on the daily) and use small timeframes only for execution precision: cheaper entries, correctly placed stops.

The full trade, built top-down

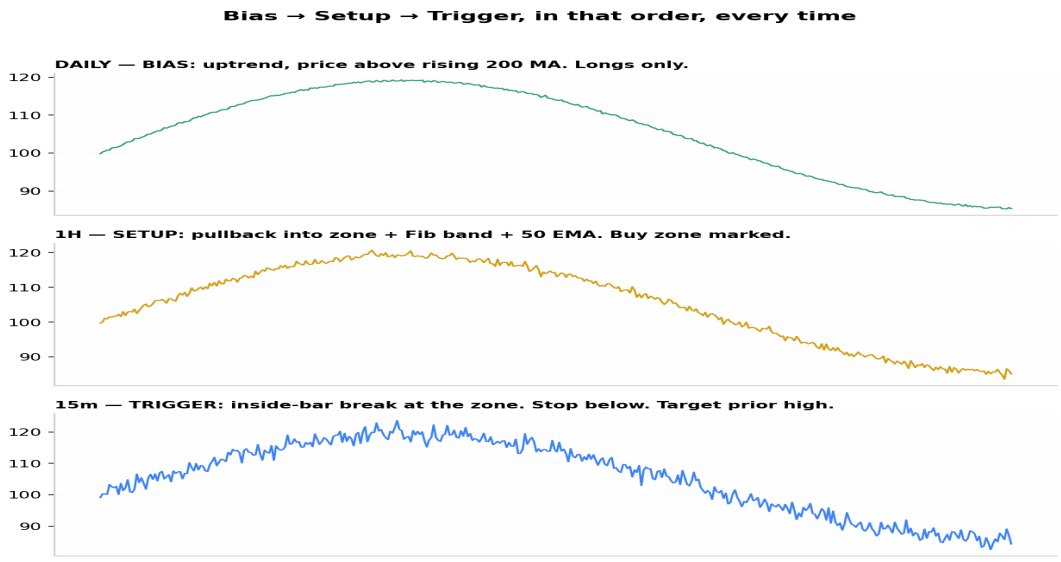
Example - long trade (the Nifty version of the Meta story, in reverse):

1. **Daily:** Nifty above rising 200 MA, pulling back to a major prior-breakout zone. -> **Bias: long only.**
2. **1H:** Pullback has retraced into the 50-61.8% Fib band, sitting on the 50 EMA, at the daily zone. RSI curled up from ~45. -> **Setup: buy zone marked.**
3. **15m:** An inside bar forms at the zone; you buy its break. Stop below the zone's low. Target: prior daily high / 127.2% extension. -> **Trigger on. Risk defined.**

One sentence: *"Long Nifty at a triple-confirmed daily zone, in an established uptrend, triggered by a 15-minute pattern, risking below structure."* If you can't write your trade in one sentence like that, you don't have a trade - you have a feeling.

The triple-screen rules

1. **Maximum three timeframes per trade.** More = analysis paralysis.
2. **Never trade when timeframes disagree** - disagreement means "wait."
3. **Risk is defined on the timeframe of your stop** (15m trigger, daily stop -> size off the daily distance; Day 20 makes this mechanical).



Bias (daily) → Setup (1H) → Trigger (15m)

LEVEL 3 — TRADING MECHANICS

Days 17–24 · Entries, stops, sizing, expectancy

Day 17 - Entries & Exits: Where the Money Is Actually Made

Two traders, one rocket, opposite endings

In January 2021, GameStop went from about $20 to an intraday high of **$483** in three weeks. Consider two fictional-but-typical traders who both "saw it early":

Trader A - the breakout chaser. He watched from $20 to $40, finally bought the "momentum breakout" at $120, added at $250 on the second leg, and held for the moon. When the squeeze peaked at $483 and reversed, his stops - placed emotionally, based on what he *needed* the stock to do - never triggered where he imagined. He exited most of his position around $90, weeks later. He was "right" about the biggest story of the year and lost money.

Trader B - the planned trader. She didn't predict the squeeze; she traded her system. She bought the *first pullback to a defined level* after the initial breakout ($40 zone), with a stop *below the structure* (under $25 - invalidation, not discomfort), and a written plan: book half at +2R, trail the rest. She exited most near $300+ and the runner on a trailing rule around $200.

Same stock. Same month. One had an entry style and no exit plan; the other had both. The difference wasn't prediction - GameStop was fundamentally unpredictable. The difference was that exits, not entries, decided who kept the money. That's today's entire lesson.

> *Ask yourself: **The GameStop question:** two traders, same rocket of a stock, opposite endings. Before you read a single rule - what do YOU think separated them: better prediction, a better entry price, or better exits? Most people guess wrong, and the wrong guess is why most accounts lose. What's your call?*

What you'll learn

- The three entry styles and their tradeoffs
- Exit types: target, trailing, time
- Why "how you exit" matters more than "how you enter"

The three entry styles

1. Anticipation entry (limit order at the level)

Place a limit at your zone *before* confirmation - betting the level holds.

- (done) Best price if right; stop can sit at the ideal structural point.
- ? Catches falling knives when the level breaks; you get filled *because* price poked through (the stop-hunt fill).

2. Confirmation entry (wait for the rejection pattern)

Price reaches your zone; wait for a pin bar / engulfing (Day 11); enter on its break.

- (done) Higher probability - someone showed you the defense.
- ? Worse price; fast V-reversals leave you behind.
- **Beginners should start here** - confirmation is training wheels for reading price action.

3. Breakout entry (buy the break of the level/pattern)

Enter when price closes beyond a boundary.

- (done) Rides momentum; you know fast if you're wrong.
- ? Worst price of the three; fakeouts are the tax (Day 22).

There's no "best" entry - there's the best entry for your psychology. A system you execute calmly beats a theoretically better one you abandon after two losses. (Trader A in our story used a chaotic mix of all three.)

Exit types - where profits are actually made

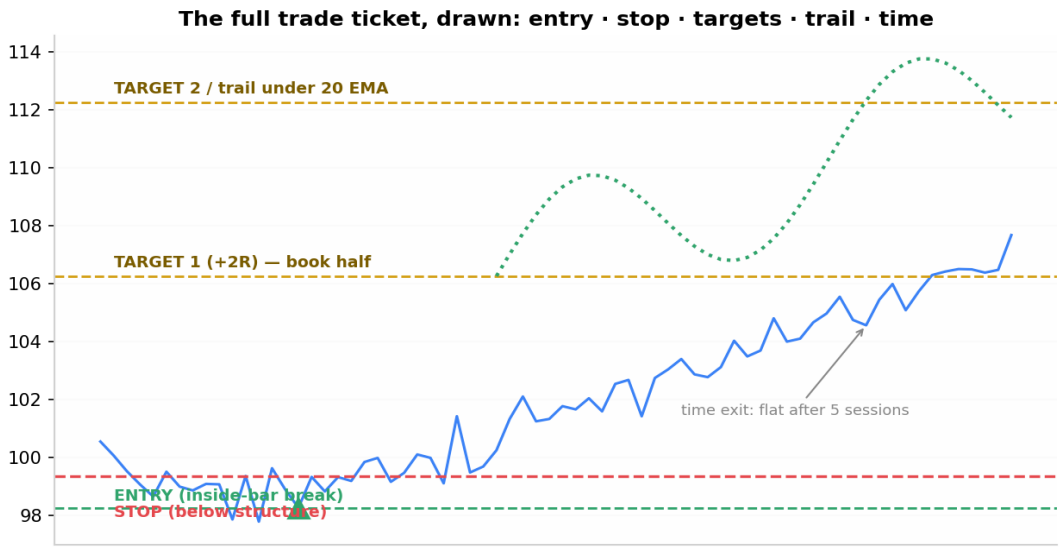
Exit type	How it works	When to use
Fixed target	Exit fully at a predefined level (measured move, extension, prior high)	Ranges, clear patterns, when you need predictability
R-multiple target	Exit at +2R or +3R regardless of levels	Trend systems, backtested setups (Day 28)
Partial + runner	Book half at +2R, trail the rest	Trends with room - the best of both worlds (Trader B's plan)
Trailing stop	Exit only when price reverses X (structure break, MA cross, ATR trail)	Strong trends you don't want to cap
Time exit	"If it hasn't moved in N days, I'm out"	Everything - dead trades tie up capital and attention

The two target rules

1. **Know your exit before you enter.** Exactly - entry, stop, target(s) written down *before* the order. If you can't name your target, you don't have a trade.
2. **Let the structure pay you.** First target at the *next* obstacle (prior high, range edge, measured move). Don't demand 5R in a range that has never given 2R - the chart tells you what it pays; your job is to listen.

A complete example (Day 16's trade, now with exits)

- **Entry:** inside-bar break at the daily zone, 24,100.
- **Stop:** below the zone low, 24,040 (risk = 60 points).
- **Target 1:** prior swing high, 24,220 (+2R) -> book half.
- **Target 2 / trail:** 127.2% extension at 24,280, then trail below the 20 EMA.
- **Time exit:** if neither target hits within 5 sessions, exit at market.



The full trade ticket: entry, stop, targets, trail, time

Day 18 - Stop Losses: Placement Rules That Survive

The man who moved his stops - and took down a 233-year-old bank

Nick Leeson was a 28-year-old derivatives trader in Singapore for **Barings Bank** - the

UK's oldest merchant bank, founded in 1762, banker to the Queen. In 1994 he began betting that a Japanese stock-market index would stay calm and move sideways. When the Kobe earthquake hit in January 1995, the index crashed right through his comfortable range - and instead

of taking the controlled loss, Leeson did the thing you're about to learn is forbidden:

He hid the losing trades in a secret account ("Error Account 88888")... and *doubled down*, taking bigger positions as the market fell, moving his exits further away, betting on a recovery that kept not coming. The losses snowballed from ~£20 million to

£827 million. Barings - two centuries of history - was bankrupt within weeks, sold

to ING for £1.

The fascinating part: Leeson's *initial* trades weren't crazy. Selling premium on a

range-bound index was a standard strategy. What destroyed a 233-year-old institution

wasn't the entry - it was refusing to define invalidation, then moving the exit to avoid

realizing pain. Today you learn the discipline that would have saved Barings: where

"wrong" actually lives on a chart, written before the trade.

> *Ask yourself: **Answer this honestly:** in your last losing trade, did you know exactly where you were wrong before you entered - down to the price - or did you figure it out somewhere in the middle of the loss growing? Note "before" or "during." No shame either way. Today makes sure it's always "before."*

What you'll learn

- The three valid stop placement methods
- Volatility-based stops (ATR) and when structure is ambiguous
- The four stop sins that destroy accounts

Method 1 - Beyond structure (the default)

Your stop goes where the *idea* is invalidated - and ideas live at structure:

- **Long at support/zone/trendline:** stop **below the zone's low** - beyond where the

stop-hunt pokes. If price trades through the whole zone, the defense failed; you're out.

- **Long at a pullback to the 20 EMA:** stop below the pullback's swing low.
- **Breakout long:** stop back inside the pattern, beyond the opposite boundary.

Common thread: **the stop belongs on the far side of the thing you traded, plus a buffer**

(0.25-0.5x ATR(14) is a sane default) - the buffer absorbs the stop-hunt poke from Day 9.

Method 2 - Volatility stops (ATR)

When structure is messy - ranges, fast markets - use the market's own noise level:

> ***Stop distance = 1.5-2 x ATR(14) from entry.***

If normal noise is 40 points, a 15-point stop is a donation to randomness. ATR also

scales targets: a 1x ATR target inside a 2x ATR noise market is a coin flip.

Method 3 - Time-based invalidation

Some ideas expire: "if it doesn't break out within 3 days, the momentum is gone." Exiting on time avoids slow-motion losses where price bleeds theta, attention, and opportunity.

Position size comes FROM the stop - not before it

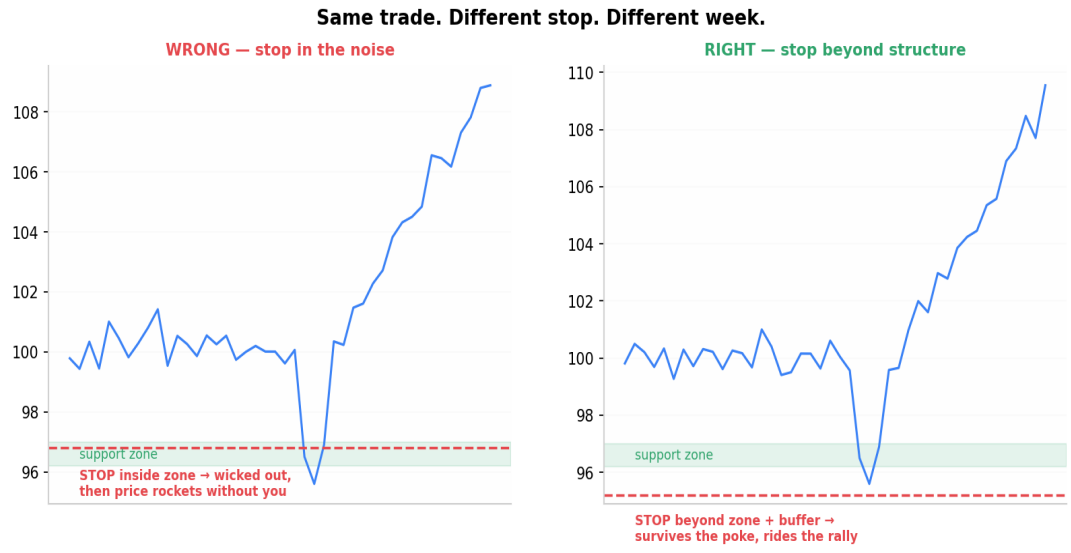
The sequence (most people get this backwards):

1. Entry level (from your setup).
2. Invalidation level (structure/ATR) -> **risk per unit**.
3. Risk in rupees (Day 19's 1-2% rule).
4. **Size = risk Rs ÷ stop distance in Rs per unit.** (Day 20 does this math in full.)

A wide stop doesn't mean a big loss - it means a *smaller size*, same rupee risk.

The four stop sins

1. **No stop at all.** One gap ends the conversation - this is how Barings died. Every position has a live stop from the first second.
2. **Stop inside the noise.** Too tight = normal breathing stops you out, then price goes your way without you. The most painful loss in trading: right idea, no position.
3. **Moving the stop away.** Never. Only toward the target (trailing). Leeson's entire catastrophe is this sin, repeated with size.
4. **Instant revenge re-entry** after a stop-out at the same level. If the idea still stands, wait for a **new** trigger (a fresh rejection). One re-entry maximum, then the level is dead for the day.



Same trade, different stop, different week

Day 19 - Risk Management: The 1-2% Rule

The fund with Nobel Prize winners that had to be bailed out by the Fed

Long-Term Capital Management, founded in 1994, was the most credentialed fund in history: two **Nobel laureates** on the team, legends from Salomon Brothers, models that had printed roughly **40%+ returns per year**. By 1998, LTCM had about $4.8 billion of capital supporting positions estimated around **$1.25 trillion** - including derivatives. That's leverage of roughly **25-to-1**, give or take, on strategies that "had never lost more than X" according to their models.

Then Russia defaulted on its debt (August 1998) - an event their history said was essentially impossible. The models didn't break because the math was wrong; they broke because no model contains the future. LTCM lost over **$4 billion in weeks** - about 90%+ of its capital - and its positions were so large that the Federal Reserve quietly organized a **$3.6 billion bailout** by 14 banks, fearing global contagion. The geniuses' edge was real. Their *sizing* is what made a real edge fatal.

If the most sophisticated risk system ever built - Nobel Prize certified - couldn't survive 25x leverage, what exactly do you think 10x on a Nifty futures account will do?

Today you learn the rule that makes losing streaks survivable - survival being the entire game.

> *Ask yourself: **Math quiz, guess first:** if you risked 10% of your account per trade, how many losses in a row would effectively end you? Take a real guess - reply with your number. Then meet the table that's more brutal than your guess, and infinitely more useful. (Fair warning: Nobel laureates got this wrong with real money.)*

What you'll learn

- The 1-2% rule and the brutal math behind it
- Losing streaks: guaranteed, survivable - if sized right
- Correlation, daily loss limits, and the risk rules of professional desks

The rule

> ***On any single trade, risk a maximum of 1-2% of your account. Not "invest" - RISK. The amount you'd lose if your stop is hit.***

On a Rs 2,00,000 account: max risk per trade = Rs 2,000-4,000. That's it.

Why 1-2%? The math of survival

Losing streaks are not bad luck - they're *mathematically guaranteed*. Even a 55% win-rate strategy will hit 8-10 losses in a row over a few hundred trades. The only question is what those streaks do to your account:

Risk per trade	10 losses in a row	15 losses in a row	State of mind after
1%	?9.6%	?14%	Annoyed, still trading well
2%	?18.3%	?26%	Frustrated, system intact
5%	?40%	?54%	Revenge trading begins
10%	?65%	?79%	Broken, or doubling down
20%	?89%	?96%	Account effectively over

(LTCM at ~25x was off this table entirely.)

Recovery math is the trap: lose 50% -> need +100% to break even. Lose 90% -> need +900%. The 1-2% rule isn't about being cautious - it's about keeping **mathematical access to your own edge**.

Correlation: the hidden double risk

Two trades can be one trade in disguise:

- Long Nifty futures + long Bank Nifty futures = one big bet on Indian financials.
- Long a stock + long Nifty = mostly the same market risk.

Rule: count correlated positions as one trade for risk purposes. Max 1-2% total across the cluster. Diversification only counts when positions can move independently.

The daily loss limit (your circuit breaker)

Set a hard daily stop: **3 losses in a day, or ?3% of account - whichever comes first - then the terminal closes.** Not "trade smaller after" - *closed*. Why:

1. Loss clusters correlate with bad states (tilt, fatigue, bad market conditions).
2. Your edge is worth nothing executed by an impaired brain.
3. Every blown account has a day where the trader "just kept going." This rule makes that day impossible. Same rule, different scale, would have changed LTCM's ending - they were adding, not stopping.

Same rule after big wins: euphoria is also an impaired state. Protect the money from yourself in both directions.

The five standing risk rules

1. Max 1-2% risk per trade, always defined by the stop.
2. Max one correlated cluster - clusters share the 1-2%.
3. Max 3 trades per day for day traders; max 5-8 open swing positions.
4. Daily loss limit ?3% or 3 consecutive losses -> done for the day.
5. Position size is calculated, never eyeballed (tomorrow makes this mechanical).

*NOTE: ? **Common beginner mistakes** 1. "I'm very confident in this one" -> 10% risk. Confidence is not probability; the market doesn't know your conviction - LTCM's Nobel committee was confident too. 2. Risking "per lot" instead of per trade - three lots at 2% each is 6% risk. 3. No daily limit -> one bad morning becomes a catastrophic day. Every. Single. Time.*

The Indian story: ADAG's pledged spiral

Anil Ambani's Reliance ADA group was, in the late 2000s, among India's most valuable businesses. Then came debt, and then **pledged shares** - promoters borrowing against their holdings. When RCom defaulted and prices fell, lenders dumped the pledged stock into falling markets: ADAG companies fell -30%, -50%, -90% in cascades through 2018-19, and what was a Rs 1,00,000-crore-plus empire shrank to near nothing in about five years. That's LTCM's leverage lesson in Indian family-business form: concentrated exposure + borrowed money + forced selling = a death spiral no analysis can stop. India's brokers now offer a "kill switch" feature - you can self-ban your own trading account. It exists because Indian brokers watched a million small LTCMs: real confidence, borrowed size, no circuit breaker. Your 1-2% rule and daily limit are the same medicine, prescribed in writing.

Key takeaways

- 1-2% risk per trade makes losing streaks survivable - survival is the entire game. (LTCM: real edge + 25x leverage = Fed bailout.)
- Correlated positions count as one trade.
- Daily loss limit of ?3% / 3 losses: non-negotiable circuit breaker.

Quick check (done)

1. Why does a 50% drawdown require +100% to recover?
2. You hold long Nifty and long Bank Nifty at 1.5% risk each. What is your real risk?
3. Your third straight loss just hit. What's the rule?

Today's action step

Compute your real numbers now: account size x 1% and x 2% -> write both figures on a sticky note on your screen. Then set your daily loss limit next to them. These three numbers are the only risk controls you'll ever need - LTCM had PhDs; you have a sticky note. Yours works better.

Answers: 1 - Rs 50 remaining needs to double to Rs 100 to get back to Rs 100 -

2 - ~3% on one directional bet (highly correlated) - over the limit -

3 - Stop trading for the day, close the terminal

Day 20 - Position Sizing: The Calculator Day ?

The Turtles' secret weapon - it wasn't the entry, it was the size

Back to the Turtle experiment from Day 8, because the part everyone misses is the part that matters most. Richard Dennis didn't just hand the novices a trend-following entry rule. He drilled into them a rigid position-sizing protocol:

- Risk a **fixed fraction of the account** on every trade (their system used roughly 2% per "unit" at reduced settings, and they pyramided in pre-defined steps).
- Size each market by its **volatility** - the more a market moved, the *smaller* the position, so that one "normal" adverse move cost the same across every instrument.
- Never, ever override the number because of a feeling.

The Turtles' edge was mostly just a moving-average breakout - a system so simple it's published in books. Thousands of traders knew the entry rules. The Turtles made $175 million because their *sizing* let them survive the long losing streaks that the same system inevitably produces, while the confident amateurs running the same entries with random sizes blew up on trade #23 of a 12-loss streak. Today you get the machine that did it - three inputs, one formula, zero feelings.

> *Ask yourself: **The uncomfortable one:** the Turtles' formula would have told most of SEBI's 93% not to take most of their trades. Do you think you could handle a formula saying "no trade today" five days in a row? What would you honestly do on day six? Note your plan - we'll stress-test it today.*

What you'll learn

- The position sizing formula (all three versions)
- Worked examples: futures, stocks, options
- The reverse check: from size back to risk

The master formula

> ***Position size = Risk in Rs ÷ (stop distance in points x value per point per unit)***

In plain language: *"How many units can I hold such that if my stop is hit, I lose exactly my allowed risk?"*

Inputs, in order:

1. **Risk in Rs** = account x risk% (Day 19).
2. **Stop distance** = entry ? stop, in points (Day 18).
3. **Value per point per unit** = lot size for futures; 1 per share for equities.

Worked example 1 - Nifty futures

- Account Rs 2,00,000 -> 1.5% risk = **Rs 3,000**
- Entry 24,100, stop 24,040 -> distance **60 points**
- Nifty lot 75 -> value per point per lot = **Rs 75**

Size = 3,000 ÷ (60 x 75) = 0.67 lots -> you can't trade 0.67 lots. Options:

- 1 lot = Rs 4,500 risk (2.25%) - over budget, or
- **This trade doesn't fit your account.** Find a tighter-structure setup, or a smaller-lot instrument.

This is the moment beginners cheat ("it's just one lot, what's the harm?") and pros - and Turtles - pass the trade. **Sizing discipline means sometimes not trading. That's a feature.**

Worked example 2 - Equity swing trade

- Rs 2,00,000 -> 2% risk = **Rs 4,000**
- Entry Rs 520, stop Rs 500 -> distance **Rs 20**
- Shares: 4,000 ÷ 20 = **200 shares** -> position value Rs 1,04,000

The magic: you control a Rs 1 lakh position while risking only Rs 4,000 - the stop, not your account size, sets your exposure.

Worked example 3 - Options buying

- Risk budget Rs 3,000 (1.5% of Rs 2,00,000)
- Premium Rs 120 -> max 25 contracts by premium... but plan the exit at the *chart* stop, not zero. If the underlying hits your stop and the option is ~Rs 70, real loss = Rs 50 x lot (say 50) = Rs 2,500 per contract -> **1 contract**. Options sizing is always *worst-case aware* - premium can gap through your mental stop overnight.

The reverse check (do this every time)

> ***Expected loss if stopped = size x stop distance x value per point*** *Must be <= your risk budget. If over - reduce size or skip.*

One line that has prevented more damage than every indicator ever built.

Your calculator

- **Spreadsheet version:** the `position-size-calculator.csv` in this package - three input cells, outputs max size for 1/1.5/2%, live formulas. Takes 10 minutes to set up; use it daily.
- **Calculator:** your bonus pack includes `assets/templates/position-size-calculator.csv` - open it in Google Sheets, enter account, entry, stop, and it computes your size for 1/1.5/2% instantly.

[chart] No TradingView chart today - the math IS the picture.

> *NOTE: ? **Common beginner mistakes** 1. **Sizing by round numbers:** "2 lots feels right." Feelings don't have a formula; the Turtles had a formula and novices beat professionals. 2. **Same size every trade regardless of stop distance** - a 30-point stop and a 120-point stop sized identically are wildly different risks. 3. **Averaging down to "fix" the size mistake** - adding to a loser changes the trade's math and psychology. Forbidden. (Day 26 covers why.)*

The Indian story: the Rs 2-lakh account and one BankNifty lot

Meet the most common trader in SEBI's data. Account: Rs 2 lakh. Trade: **one lot of BankNifty weekly options**, bought Monday, held into expiry. Lot size 15 (now 30+), premium say Rs 200 -> Rs 3,000-6,000 at risk per lot on a typical buy. Sounds small - until the index gaps 1.5% on a Tuesday and the premium halves. Risk taken: 3-5% of account. Loss streaks of 4-5 such trades: ?20% of the account - inside two weeks, entirely normal. Now apply the Turtle formula: 1.5% of Rs 2 lakh = Rs 3,000 risk budget; chart stop on the underlying = 300 points; value per point Rs 15 (lot 15) -> 3,000 ÷ (300 x 15) = **0.67 lots - which rounds down to zero lots.** The formula would have skipped half the trades that destroyed accounts in SEBI's study. That's the entire story of this lesson: the math says "no" more often than your gut does, and every "no" is free.

Key takeaways

- Size = risk Rs ÷ (stop distance x value per point). Always round DOWN. Zero is a valid size. (The Turtles' real edge.)
- If no size fits the risk budget, the correct trade is skipping it.
- Reverse-check every order: expected stop-loss in Rs <= risk budget.

Quick check (done)

1. Account Rs 3,00,000, risk 1.5%, entry 100, stop 97, value Rs 10/point/share. Size?
2. Your computed size is 2.4 lots. What do you take - and what if 2 lots still exceeds budget?
3. Why is the reverse check non-negotiable?

Today's action step

Build the 3-cell spreadsheet now (10 minutes, before tomorrow's lesson - the file is in your package). Then run your three most recent trades through it: what size *should* you have taken vs what you took. The gap is your leak. Fix the process, not the trades.

Answers: 1 - Rs 4,500 ÷ (3 x 10) = 150 shares -

2 - Take 2 lots; if still over budget, skip - size zero is a valid position -

3 - It converts theory into a pre-order verification that catches rounding, lot-size and correlation mistakes while they're still free

Day 21 - Risk:Reward & Expectancy: The Math of Profitability

Why the casino never worries about your winning streak

Walk into any casino in the world and watch the roulette table. Bet on red or black, and the casino pays you even money - a "fair" 1:1 bet. Except it isn't fair: the wheel also has the green zero (and double-zero in America). Your true odds of winning are 18 out of 38 - **47.4%**, not 50%. That tiny 2.6% disadvantage, repeated thousands of times a night across thousands of tables, is worth billions. The casino doesn't predict spins. It doesn't need to. It has **positive expectancy** - a bet structure that pays less than the true odds, repeated at volume.

Now the uncomfortable mirror: a trader with no edge is just a casino patron - except the trader *chooses* their own odds on every bet. Today you learn to compute your odds, so you stop being the roulette player and start being the house. One formula does it.

> *Ask yourself: **Ten seconds, big prize:** the casino wins only 52.6% of even-money roulette bets - barely better than a coin flip. So why does the house always end up ahead? Think before reading on - reply with your answer. Whatever you just realized... that single insight is worth more than every formula today. (And it's a formula.)*

What you'll learn

- R-multiples: the currency of trading
- The expectancy formula with worked numbers
- Breakeven win rates for different risk:reward ratios

R-multiples: think in units of risk

Stop measuring trades in rupees. Measure them in **R** - multiples of what you risked:

- Risked Rs 3,000, made Rs 6,000 -> **+2R**
- Risked Rs 3,000, stopped out -> **?1R**
- Risked Rs 3,000, scratched at breakeven -> **0R**

R normalizes everything: a Rs 50,000 account and a Rs 5,00,000 account taking the same +2R trade had identical *decisions*. Journaling in R (Day 27) is how you compare your performance across time and sizes honestly.

(done) Diagram already made: `charts/generated/L3-21-risk-reward.png`

(1R risk / 3R reward. Keep it in mind through the next section.)

The expectancy formula

> ***Expectancy = (Win% x Average Win) ? (Loss% x Average Loss)** ...all in R.*

Positive = you have an edge. Negative = you're donating, no matter how often you win.

Worked example A - the "accurate" trader

Wins 70%, avg win +0.8R (tiny profits) - losses 30%, ?1R.

Expectancy = (0.70 x 0.8) ? (0.30 x 1.0) = **+0.26R** - profitable, *barely*. One habit change flips it negative. Fragile - this is the roulette player who wins often and still feeds the house over time.

Worked example B - the "lazy accuracy" trader

Wins only 40%, avg win +2.5R - losses 60%, ?1R.

Expectancy = (0.40 x 2.5) ? (0.60 x 1.0) = **+0.40R** - *more profitable than the 70% winner.* This is the house. You don't get paid for being right; you get paid for asymmetry - small controlled losses, large patient winners. The 40% trader loses *more often *and makes* more money*.

Worked example C - the breakeven illusion

Wins 55%, +0.9R - losses 45%, ?1R -> +0.045R -> after costs ? **negative**. "Slightly positive before costs" is a slow bleed. Costs are part of the formula in the real world - the casino's edge *is* the cost layer.

Breakeven win rates

Risk:Reward	Breakeven win rate	Comfortable target
1:1	50% (+ costs -> ~53%)	57%+
1:2	33% (~36%)	42%+
1:3	25% (~28%)	35%+

Read it twice: with 1:3 trades, **you can be wrong two times out of three and still make money.** That's the house math. This is why Day 17's exits matter more than entries, and why "being right" is the wrong goal.

Using expectancy live

1. **Before a setup:** estimate honestly - "this pattern wins ~45%, pays ~2R" -> check against the breakeven table. Clears with margin = tradeable.
2. **After 30 trades (your journal):** compute your real expectancy. Above +0.15R after costs = working edge; scale carefully. Below zero = stop trading live, backtest and fix (Day 28) before another rupee goes in.

> *NOTE: ? **Common beginner mistakes** 1. Chasing win rate as the goal - the 70%-win trader is one bad month from bust. Win rate is a vanity metric; expectancy is the bank metric. (The casino wins 52.6% of even-money bets and owns the building.) 2. Taking 1:0.5 trades ("it'll pop a little") - you need ~70% before costs just to break even, and no beginner wins 70%. 3. Computing expectancy after 5 trades and declaring a system broken (or golden). Thirty trades minimum before the number means anything.*

The Indian story: SEBI counted the casino's books

Here is the Indian house edge, measured by the regulator itself. SEBI's FY22-FY24 study

of the equity F&O segment found: **93% of individual traders lost money**, only about 1% won more than Rs 1 lakh in a year, and the winners' total profits (around Rs 9,700 crore) were dwarfed by the losers' losses (over Rs 1.8 lakh crore) - with brokers and the government collecting **~Rs 34,000 crore in transaction charges and taxes** over the period. Strip the jargon: retail F&O in India IS a casino with negative expectancy, and the house takes a cut of every spin via STT, exchange fees, GST, and stamp duty - the same cost layer that turns +0.045R strategies negative in our formula. Your only escape from being the patron is the one the casino can't tax: refusing bets whose expectancy is negative. That is what this lesson's formula is for.

Key takeaways

- Think in R. Every trade is a bet of 1R for some multiple back.
- Expectancy = (Win% x AvgWin) ? (Loss% x AvgLoss). Positive after costs = edge. (The casino's edge is 2.6% per spin; yours needs to survive costs too.)
- You can lose 60% of the time at 1:2+ and still print money. Asymmetry pays, not accuracy.

Quick check (done)

1. Win 45%, avg win +2R, loss 55%, avg loss ?1R. Expectancy? Tradeable?
2. Why is a 65% win rate with +0.6R wins dangerous?
3. At 1:3 risk:reward, what win rate breaks even (ignoring costs)?

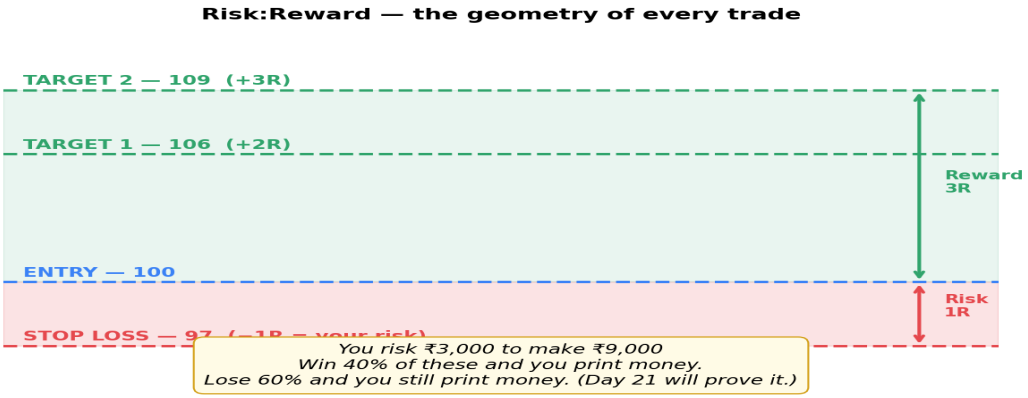
Today's action step

Compute the expectancy of your last 20 trades (approximate R per trade is fine). Most students discover their "good" strategy is breakeven and their "lucky" month was noise. That discovery - however uncomfortable - is your first honest map of your real skill, and it's the same math the casino runs every night.

Answers: 1 - (0.45x2) ? (0.55x1) = +0.35R -> tradeable -

2 - (0.65x0.6) ? (0.35x1) = +0.04R -> costs likely flip it negative; extremely fragile -

3 - 25%



The geometry of a trade: 1R risk for a 3R reward

Day 22 - Breakouts vs Pullbacks: Two Ways to Enter the Same Move

The breakout that faked out four times - then never looked back

Remember Bitcoin's $10,000 wall from Day 9? It's also the best real-world lesson in today's subject. Between mid-2019 and mid-2020, that level produced *at least four* brutal fakeouts: the June 2019 pump to $13,800 that collapsed within days; the October 2019 China-pump that died in 48 hours; the February 2020 break that COVID steamrolled; the July 2020 poke above $11k that pulled back one final time.

Every one of those breaks *looked* real. Traders who bought each breakout - with tight stops above the level, sized on confidence - were stopped out four times in a row. That's not bad luck; that's the **breakout tax**, and it must be budgeted for like any other cost.

Then, in late July 2020, came the break that mattered - and here's the nuance that separates pros from the stopped-out crowd: after the decisive close above the zone, Bitcoin *pulled back*, retested the old $10k resistance as support, held it... and then ran to $42,000. The traders who got the *pullback entry* after the breakout caught the same move with a fraction of the risk. Breakout and pullback aren't rivals - in the best trades, they're two acts of the same play.

> *Ask yourself: **Be honest:** Bitcoin faked out traders four separate times at $10,000 - four painful, stop-hitting fakeouts before the real break. If you'd been trading it, do you think you'd have been stopped out once, twice... or all four times? Note your number. No shame - everyone pays this tax at first. Today you learn to budget for it.*

What you'll learn

- The mechanics of both entry families
- Fakeouts: the breakout's tax, and how professionals handle them
- A decision table for choosing between them

The breakout play

What it is: enter when price closes beyond a boundary - range high, pattern neckline, inside bar, prior day high.

- **Entry:** close beyond the level (aggressive) or the retest of the level (conservative).
- **Stop:** back inside the structure - beyond the opposite boundary or the breakout candle's low.
- **Why it works:** trapped traders. Range shorts are forced out (buying), breakout buyers pile in (buying) - exit and entry crowds push together.
- **The cost:** you're buying the *worst* price in the structure, and when it fails, it

fails fast.

The fakeout (false breakout)

Price pokes above the level, triggers breakout orders... and collapses back inside within 1-3 candles. Your stop gets hit; worse, trapped breakout buyers become fuel for the reverse move. The $10k fakeouts were exactly this, four times.

How professionals handle fakeouts:

1. **Demand the close** - enter on the candle *close* beyond the level, not the poke. Half of fakeouts die before the close.
2. **Volume filter** - Day 12's rule: no expansion, no breakout.
3. **Trade the *failure* instead** - if a breakout instantly reverses back inside with a strong rejection candle, that *is* a signal - often the best entry of all (it's the stop-hunt play, against the trapped crowd).
4. **Half size on breakouts** - the strategy has a built-in failure tax; budget for it.

The pullback play

What it is: the trend is established; wait for it to breathe - a dip to a zone, the 20 EMA, a Fibonacci band, a trendline - and enter as it resumes.

- **Entry:** at the level (anticipation) or on the resumption trigger (confirmation - an engulfing/pin bar at the level).
- **Stop:** beyond the pullback extreme.
- **Why it works:** you're buying value within momentum - the crowd's cost basis is behind you and the trend's fuel is intact.
- **The cost:** pullbacks occasionally don't come (the train leaves - accept it), and deep pullbacks occasionally *are* reversals (the stop exists for exactly this).

Head to head

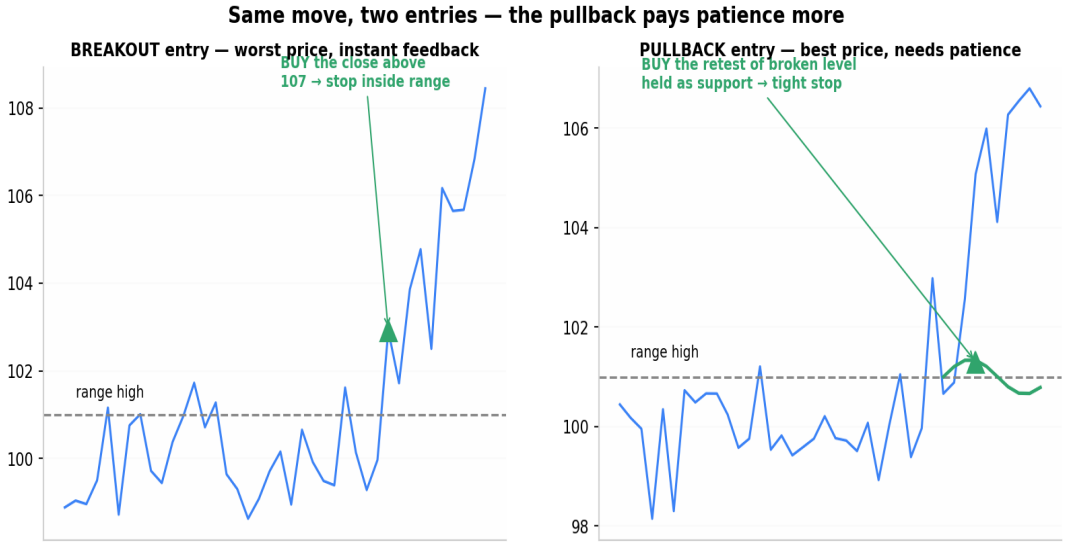
	Breakout	**Pullback**
Price paid	Worst (top of structure)	Best (discount within trend)
Win rate	Lower - fakeout tax	Higher - trading with structure
Speed of feedback	Fast	Slower
Missed-trade rate	Low	High (some trends never dip enough)
Personality fit	Decisive, momentum-loving	Patient, value-loving
Best market state	Compression ending (like BTC's year-long range)	Established, orderly trends

Which should YOU trade?

1. **Is the trend established and orderly?** -> pullbacks are the A-play.
2. **Is the market compressed** (long range, volatility squeeze - like Bitcoin 2019-20)?

-> breakouts are the A-play *when* they trigger with volume.

3. **What can your psychology execute without flinching?** If missing breakouts causes revenge entries, build a breakout system. If three fakeout stops make you abandon the plan, build a pullback system. **The tradeable system is the one you'll actually follow.** Most professionals run both - pullbacks as the core, breakouts as the compression release - but for your first live months, **master one.** Pullback trading is the recommended core; add breakouts after 30 journaled trades.



Same move, two entries — the pullback pays patience more

Day 23 - Building Your Trade Checklist

The checklist that made flying the safest thing humans do

In 1935, the US Army held a competition to choose its next long-range bomber. Boeing's Model 299 - faster, longer range, more bombs than anything flying - was the certain winner. On the demonstration flight, the experienced pilot forgot to *release the elevator lock* - a single step - and the "flying fortress" crashed, killing two crew. The army nearly cancelled the program.

Boeing's fix wasn't a better pilot - it was a **card with steps on it**. The pre-flight checklist was born. That plane went on to become the B-17, and the checklist went on to make aviation the safest complex activity in human history. Decades later, surgeon Atul Gawande brought the same idea into operating rooms: in a study across eight hospitals worldwide, a basic surgery checklist cut deaths and complications by roughly a third.

Now consider your arena: one person, a screen, real money, and a brain wired by evolution to panic in exactly the moments that matter. Pilots don't rely on memory under pressure. Surgeons don't. **Why would you?** Today you build your card.

> *Ask yourself: **Count them:** a 20-year-experienced Boeing pilot crashed a plane over ONE forgotten step - so engineers made him a list. How many steps are in YOUR trading process right now, written down? If your answer is "in my head" - this lesson was written specifically for you. What's your number?*

What you'll learn

- The 10-point pre-trade checklist (use verbatim until it's instinct)
- The post-trade review loop
- Why checklists outperform discretion at every skill level

The 10-point pre-trade checklist

Before ANY order, all ten boxes - in writing, every time:

```
? 1. HTF BIAS     Daily trend clear? I'm trading WITH it, not against it?
? 2. LEVEL        Entry sits at a real zone (S/R, trendline, Fib band, MA)? 3-5 zones max?
? 3. CONFLUENCE   2+ independent tools agree here? (zone + MA, fib + level, etc.)
? 4. TRIGGER      A defined trigger candle/pattern exists (or a limit order is placed per plan)?
? 5. STOP         Stop is beyond structure (+ buffer), NOT inside noise? Distance in points known?
? 6. SIZE         Size computed from formula (Day 20)? Reverse-checked: stop-loss Rs  <= budget?
? 7. TARGET       Target(s) defined before entry? R:R >= 2 at minimum expectation?
? 8. EXPECTANCY   Setup type has positive expectancy in my journal/backtest (Day 21/28)?
? 9. DAILY LIMIT  Am I within today's 3-loss / ?3% circuit breaker (Day 19)?
? 10. ONE-LINER   Can I write this trade in one sentence? ("Long X at Y because Z,
                   stop A, target B, risking C%")  -  if not, NO TRADE.
```

> *The checklist isn't bureaucracy - it's the elevator lock. It takes 60 seconds between impulse and order, and most bad trades cannot survive ten honest questions. The Boeing pilot had 20 years of experience; experience didn't release the lock.*

The post-trade review (2 minutes, every trade)

Right after exit, log:

- **R result** (+2R, ?1R, 0R...)
- **Setup type** (pullback / breakout / pattern name) -> feeds your expectancy data
- **Checklist followed?** Y/N - and if N, *which box did you skip?* (This single field is the highest-value data you'll ever collect. Skipped-box losses are not strategy losses; they're discipline losses - and they're fixable.)
- **One-line note:** what the market did, what you felt. One line.

Turn it into a filter, not a form

After ~30 logged trades, sort your journal by **"Checklist followed?"**:

- Trades with all 10 boxes: your win rate and expectancy here = your real edge.
- Trades with skipped boxes: almost always negative expectancy.

The conclusion writes itself: **your edge isn't a secret setup - it's your own checklist-following.** Protect the process and the P&L follows. (Same finding as the operating rooms: the checklist didn't make surgeons smarter - it made their good days repeatable.)

Your personalized checklist (homework for today)

Copy the 10 points, then:

1. **Add 2 custom boxes** for YOUR style (e.g., "? Not within 15 min of a major news release?" or "? Is this instrument in my 5-instrument watchlist?").
2. **Delete anything you never use.** A checklist that's 60% ignored trains you to ignore checklists.
3. Print it. Tape it to your monitor. (Pilots keep theirs in the cockpit, not in memory.)

[chart] No chart needed today - the checklist replaces charts.

> *NOTE: ? **Common beginner mistakes** 1. Checklist in the head. A mental checklist is a memory of a checklist. Write it. 2. Filling boxes backwards - fitting answers to justify a trade you already want. The checklist's job is to kill trades; if it never kills any, you're not using it. 3. Reviewing only losers. Winners skipped boxes too - those are your future disasters rehearsing. (Boeing's crashed plane passed every check except one.)*

The Indian story: the dabbawala code

Mumbai's dabbawalas deliver roughly **two lakh tiffin boxes a day** across the city's suburban rail network - through crowds, monsoons, and train delays - with accuracy rates that have fascinated operations researchers worldwide. Their secret isn't technology; most of the workforce is semi-literate. It's **color-coded marks and a written system everyone follows**: each dabba's origin, destination, and route encoded in symbols, with strict handoff rules at every station. No dabbawala "improvises" because he feels confident about a shortcut. A system simple enough to follow in a monsoon, followed

without exception - that's the entire argument for your checklist. When you feel like skipping box #6 on a "perfect setup," remember: nobody in Mumbai skips their code because lunch feels like a sure thing.

Key takeaways

- 10 boxes, in writing, every trade. The one-liner test is the final gate. (The B-17's entire history hinged on one forgotten step.)
- Post-trade: R result, setup type, checklist-followed, one line.
- After 30 trades, compare followed vs skipped - that gap is your leak and your roadmap.

Quick check (done)

1. Why must the checklist be written and not mental?
2. Which checklist field predicts your future blowups?
3. What does it mean if your checklist never kills a trade?

Today's action step

Build your personal checklist now (copy + 2 custom boxes + delete unused). Then run all of today's watchlist candidates through it. Every trade that fails a box gets *deleted* - not resized, not "watched." Feel how much lighter the watchlist feels. That's your new standard: fewer trades, all of them earned.

Answers: 1 - Under emotion, memory edits itself; written boxes stay honest - 2 - "Checklist followed? No" on WINNING trades - skipped discipline that got lucky - 3 - You're fitting answers to justify wanted trades; the checklist isn't functioning

Day 24 - Level 3 Quiz

Before the questions, one last story - because it ties this whole level together.

In 2012, a team of researchers studied every day trader on the Taiwan Stock Exchange over 15 years - millions of accounts. The finding should be tattooed on every trading terminal: **fewer than 1% of day traders were predictably profitable after costs.** Not 1% great, not 1% lucky - 1% *predictably* profitable. The other 99% were the casino patrons from Day 21, feeding the house with frequency.

Now notice what this level just installed in you: defined entries and exits (Day 17), structural stops (18), the 1-2% rule (19), formula sizing (20), expectancy math (21), one entry family mastered (22), and a written checklist (23). Every single one of those is a filter that removes you from the 99% and moves you toward the 1%. The quiz below proves the filters are loaded.

Ask yourself: **Before the questions:** on a scale of 1-10, how ready do you *feel*? Note the number. After the quiz, compare it to your actual score. That gap - between felt-readiness and real-readiness - is one of the most expensive gaps in trading, and today you get to measure yours for free.

1. Your stop belongs...

a) at the rupee amount you're willing to lose b) beyond the structure that invalidates your idea, plus a buffer c) wherever the broker suggests

2. Account Rs 2,50,000, risk 1.5%, entry 100, stop 97, Rs 5/point/share. Position size?

a) 250 shares b) 375 shares c) 1,250 shares

3. Wins 40%, avg win +2R; losses 60%, avg loss ?1R. Expectancy?

a) ?0.2R b) +0.2R c) +0.4R

4. With a 1:2 risk:reward, breakeven win rate is approximately...

a) 25% b) 33% c) 50%

5. Your third consecutive loss of the day just hit. You...

a) Take a break and return smaller b) Stop for the day - circuit breaker c) Size up to recover

6. Long Nifty + long Bank Nifty at 1.5% risk each = total effective risk of roughly...

a) 1.5% b) 3% c) Can't say

7. The fakeout filter that eliminates most false breakouts is...

a) Entering on the candle close beyond the level + volume expansion b) Bigger size c) Tighter stop

8. A computed size of 2.7 lots with a strict 1.5% budget means...

a) Take 3 lots b) Take 2 lots and accept slightly higher risk, or skip c) Take 2 lots and tighten the stop to fit

9. Moving a stop loss further away from entry is...

a) Acceptable once b) Forbidden - only trailing toward the target is allowed c) Fine if conviction is high

10. The highest-value field in your post-trade journal is...

a) P&L in Rs b) "Checklist followed? Y/N" c) How the trade felt

11. A wide stop distance means you should trade...

a) Bigger size b) Smaller size c) The same size

12. You risk Rs 4,000 and exit with Rs 10,000. Result in R?

a) +2R b) +2.5R c) +6R

<details><summary>Answer key</summary>1b - 2a (Rs 3,750 ÷ Rs 15 = 250) - 3b ((0.4x2)?(0.6x1)=+0.2R) - 4b - 5b - 6b (correlated cluster) - 7a - 8b - 9b - 10b - 11b - 12b</details>

The Indian story: the number SEBI published

Before the quiz, pin this to your wall: SEBI studied every individual F&O trader in India across FY22-FY24 and found **93% lost money**, the average loser gave up about **Rs 2 lakh**, and the system's total retail loss approached **Rs 1.8 lakh crore** - with brokers and government collecting tens of thousands of crores in charges along the way. Taiwan's 1% and India's 93% are the same statistic measured from opposite ends: almost nobody survives active trading without process. The twelve questions below check whether your process is installed. Taiwan counted its day traders; SEBI counted yours. Pass this quiz, and you become the exception both regulators measured.

Graduation message (Day 24 evening, your end-of-day reflection)

> *"Level 3 complete. You now hold the full mechanics stack - and the Taiwan study says almost nobody else does. One level left, and it decides whether any of the other three get used when it matters. Level 4: Psychology. "*

Answers: in the key above.

LEVEL 4 — PSYCHOLOGY & GOING LIVE

Days 25–30 · Mindset, journaling, backtesting, playbook

Day 25 - Trading Psychology

How one hidden loss became ?4.9 billion - the anatomy of a psychological spiral

In 2005, a trader at a big French bank named Jérôme Kerviel took a position that went against him. It was small - the kind of loss every trader takes weekly. But Kerviel couldn't press the button that made it real. So he hid it, and did the thing his instincts demanded: he took *another*, bigger trade to win the money back. It lost too. He hid that one as well, entering fake covering trades so the bank's computers showed he had no risk.

For three years the spiral compounded - each hidden loss demanding a bigger trade to recover the previous ones, each "one last recovery trade" digging the hole deeper. By January 2008, the bank's risk team finally saw the truth: **?49.9 billion** of hidden positions, and closing them cost the bank **?4.9 billion** - then the largest trading loss in banking history. Kerviel wasn't a gambler at heart; colleagues described him as quiet, hardworking, from a modest background, terrified of failure. His first mistake wasn't financial. It was psychological: a small loss he couldn't emotionally afford to realize. Everything after was arithmetic. Today you learn the five patterns that turned a routine loss into a national scandal - because the same patterns, at your scale, are exactly how ordinary accounts die.

> *Ask yourself:* ***You don't have to write it down:*** *Kerviel's spiral started with a loss too small to matter. Honest question - what's the smallest loss you've ever quietly turned into a big one, not by math, but by behavior? Averaging? Refusing to sell? "One more trade to fix it"? Just recognize yours silently. Naming it is today's entire lesson.*

What you'll learn

- The five money-destroying mental patterns (with their triggers)
- Process-over-outcome thinking
- The daily operating rules of psychologically stable traders

Trap 1 - Loss aversion (the root of almost everything)

Losses hurt roughly **twice as much** as equivalent gains feel good (proven repeatedly in behavioral economics - Kahneman's prospect theory). In trading, this single quirk produces nearly every other trap:

- You hold losers hoping (avoiding the pain of realizing the loss) while cutting winners early (banking the pleasure now). **Disposition effect.** Result: small wins, huge losses - the exact reverse of the asymmetry Day 21 proved you need.

Antidote: your stop and targets are decided *before* emotion enters (Days 17-18). The plan is written when you're calm; it's executed when you're not. Kerviel's tragedy is that he had no plan - only a feeling that had to be made whole.

Trap 2 - Revenge trading

Loss -> anger -> "the market owes me" -> immediate re-entry, bigger -> bigger loss. The second trade has no setup; it has an emotion. Kerviel's three-year spiral was revenge

trading at institutional scale - each trade existing only to undo the last one.

Antidote: the Day 19 circuit breaker is the hard version. The soft version: **after any loss, 10 minutes away from the screen, mandatory.** Not to calm down - to make the next decision deliberate. Ten minutes is the cheapest trade filter ever invented. Kerviel never took ten minutes in three years.

Trap 3 - FOMO (fear of missing out)

A vertical move you're not in feels like money being stolen from you. You chase it at the worst price, with no plan, and become someone else's exit liquidity.

Antidote: reframing. A missed move costs nothing - P&L is unchanged by trades you didn't take. A *chased* move has negative expectancy by definition. The market runs every single day; there is always another bus. FOMO is the illusion that this one was the last.

Trap 4 - Overconfidence after wins

Three wins in a row and the brain starts narrating genius. Size creeps up, checklist boxes get skipped ("I can feel this one"), and the account gives back the month in one trade. Wins are the *most* dangerous moment in trading - losses make you careful.

Antidote: size never changes based on recent results - the formula outputs the size, period. The checklist applies identically to trade #1 and trade #30 of the streak. If the sentence "I'm on a heater" appears in your mind - that's the signal to *halve* size, not double it. (Kerviel's early "wins" while hiding losses likely fed his escalation.)

Trap 5 - Anchoring to your entry price

"I bought at 500, it's at 480, I just need it to come back to 500 and I'm out even."

The market has never heard your entry price. The only question that matters: *would I open this position at today's price, with today's information?* If no - exit per plan, whether you're up or down.

The professional's operating system

1. **Process over outcome.** Judge each trade by checklist adherence, not profit. A checklist-perfect loss is a good trade; a reckless win is a bad trade. Over 100 trades, process and outcome converge - and only process is controllable.
2. **Fixed routine:** same prep, same checklist, same review time. Routine is willpower saved for when it matters.
3. **State check before the first trade:** slept? calm? no personal crisis? Any "no" -> half size or no trades. Your brain is position #1.
4. **The journal as therapist (Day 27):** feelings logged become patterns you catch next

week instead of next year. (Kerviel's managers might have caught it in month one.)

> *NOTE: ? **Common beginner mistakes** 1. Believing psychology is a "later" topic - it's the multiplier on everything else. Perfect system x 0 psychology = 0. (Kerviel had world-class tools.) 2. Treating a calm mood as a green light. Mood ? state; routine > motivation. 3. White-knuckling through tilt. Tilt is physiological (cortisol, heart rate). No pep talk fixes it; only distance and time do.*

The Indian story: the Tuesday that ate the salary

You know this trader - he's in every Indian office. Friday: two quick wins on expiry trades, +Rs 8,000. The group chat calls him a legend. Monday: full position size on a "confirmed" BankNifty call, -Rs 6,000. He doesn't feel the loss - he feels the insult. He re-enters within four minutes, bigger, on the 2:45 move. -Rs 9,000. Now he's down a month's SIP contribution and the market "owes him." Final trade of the day: an OTM weekly buy sized to win it all back by 3:15. It expires worthless. Tuesday morning, he doesn't open the terminal; he can't. Multiply this Tuesday by a few million and you get SEBI's Rs 1.8-lakh-crore number - Kerviel's spiral, retold in Rs 6,000 installments. India's brokers responded with the kill switch: a feature to lock yourself out of your own account.

Think about that. The industry built a product whose entire purpose is defending you from the person in this lesson.

Key takeaways

- Loss aversion -> disposition effect -> inverted asymmetry. Pre-written plans are the only known antidote. (?4.9B started as one small, un-realized loss.)
- Revenge: 10-minute rule + circuit breaker. FOMO: missed moves are free. Wins: danger zone - size never follows emotion.
- Judge yourself on process adherence. Outcomes follow over a large enough sample.

Quick check (done)

1. Why is the moment after three straight wins statistically dangerous?
2. State the "would I enter today?" question and what it resolves.
3. Process over outcome - explain in one sentence why a checklist-perfect loss is a "good trade."

Today's action step

Write your two personal triggers: which trap do YOU fall into after a loss, and which after a win? Name them ("my revenge button," "my heater voice"). Naming creates the half-second gap between impulse and order - the exact gap Kerviel never had. Tape the names to your monitor.

Answers: 1 - Overconfidence raises size and skips process exactly when normal variance is about to reassert itself - 2 - "Would I open this position at today's price with

today's info?" Resolves anchoring - makes exit decisions price-based, not cost-based - 3 - Over enough trades, only controllable inputs (checklist adherence) reliably produce outcomes - judge what you control

Day 26 - The 7 Mistakes That Kill Beginner Accounts

The bank that died of "averaging down"

Yes Bank was once India's fastest-growing private bank - Rs 400+ per share in 2018, darling of every mutual fund. Then governance questions, then a full-blown crisis, and by March 2020 the RBI had to impose a moratorium. The stock, eventually, traded near **Rs 10** - down over 95% from its peak.

Now picture the most common Indian retail story of that era: an investor buys Yes Bank at Rs 350. It falls to Rs 280 - "cheap now, quality bank, averaging." It falls to Rs 180 - "double down, this is a once-in-a-decade price." Rs 90: "it can't go lower, it's a SYSTEMIC bank." At every step, the decision felt like investing wisdom - buy low, lower your average. The math, though, was doing something else entirely: each "average" multiplied the position size at progressively worse prices, turning a Rs 1 lakh opinion into a Rs 5 lakh conviction built entirely on a falling knife. The stock that "couldn't go lower" went ~95% lower.

Yes Bank is mistake #5 on today's list - but it's the perfect doorway, because every one of the seven mistakes is a *correct instinct from normal life, misapplied to a probabilistic game*. That's why they're irresistible, and why each needs a mechanical rule instead of willpower.

The seven, at a glance

#	Mistake	Root cause	The fix
1	No stop loss	"It'll come back"	Stop placed before entry, always
2	Overleveraging	Greed + small account	1-2% risk rule (Day 19)
3	Overtrading	Action feels like progress	Trade less; A-setups only
4	Moving stops	Can't accept being wrong	Stops only trail, never widen
5	Averaging losers	Sunk cost + anchoring	Add only to winners, per plan
6	Trading illiquid/news events	Excitement + FOMO	Liquidity filter + news blackout
7	No journal/review	Ego avoids evidence	Day 27 system, 2 min/trade

Mistake 1 - No stop loss

Why: accepting the small loss feels worse than hoping. **Cost:** one gap and the account is gone. **Fix:** non-negotiable, placed before entry, in the system, every position, first second. (Barings Bank, Day 18: a 233-year-old institution.)

Mistake 2 - Overleveraging

Why: using the full margin the broker offers, because it's there. **Cost:** ruin through normal variance when position size ignores stops (even the experts - LTCM's Nobel team - found this out). **Fix:** risk-based sizing

(Day 20). Too small for sensible sizing? Keep the leverage, shrink the position - the formula decides the size, never the margin limit.

Mistake 3 - Overtrading

Why: action feels like progress; commissions are invisible per-trade. **Cost:** the chart below - a no-edge trader paying spread, slippage and charges 300 times a quarter. **The Taiwan study from Day 24 lives here:** <1% of day traders predictably profitable - frequency is the filter that kills them. **Fix:** cap trades per day (Day 19); A-setups only. Boredom is not a signal.

(done) Diagram already made: `charts/generated/L4-26-overtrading.png`

Mistake 4 - Moving stop losses

Why: the trade is "so close" to coming back; widening feels like buying time. **Cost:** converts a series of small planned losses into one account-crippling disaster - 90%+ of catastrophic losses contain this move (Leeson, Day 18). **Fix:** stops move one direction only - toward the target. If tempted to widen: that's the tilt signal; execute the 10-minute rule instead.

Mistake 5 - Averaging into losers

Why: "cheaper now, so my average is better" - shopping logic applied to falling knives. **Cost:** Yes Bank math - the one trade that keeps falling now holds 3-5x size at the worst prices. Paul Tudor Jones's famous line: *"Losers average losers."* **Fix:** adding is only legal when the trade is *already working* and the add was pre-planned (pyramiding). Adding to red is doubling down on being wrong.

Mistake 6 - Trading illiquid instruments & news events

Why: low-priced illiquid stocks "move a lot"; news feels like opportunity. **Cost:** wide spreads eat the edge (Day 6); news slippage makes stop prices fiction (the SNB shock, Day 6: brokers bankrupted in 15 minutes). **Fix:** liquidity filter (minimum average daily volume) + personal news blackout: no new positions 15 min before/after major releases.

Mistake 7 - No journal, no review

Why: the ego avoids evidence; review means confronting skipped boxes. **Cost:** repeating the same mistake for years, each time feeling like bad luck. **Fix:** tomorrow.

The meta-lesson

Every mistake on this list is an instinct that works everywhere EXCEPT leveraged, probabilistic markets: "don't accept the loss" (sunk cost), "buy more of what's cheap" (Yes Bank), "do more of what you're doing" (work ethic), "hold on, it'll recover"

(relationships). Trading is the one arena where your instincts are the opponent - which is exactly why the checklist exists.

Key takeaways

• Seven mistakes: no stop, leverage, frequency, stop-moving, averaging down, illiquid/news, no journal.

• Each one is an instinct - that's why plans must be written and mechanical.

• After every losing week, audit against this list before touching strategy. (Yes Bank survivors had six chances to stop.)

Quick check (done)

1. Which single mistake can end an account in one day?

2. Why is averaging down worse than the initial bad entry?

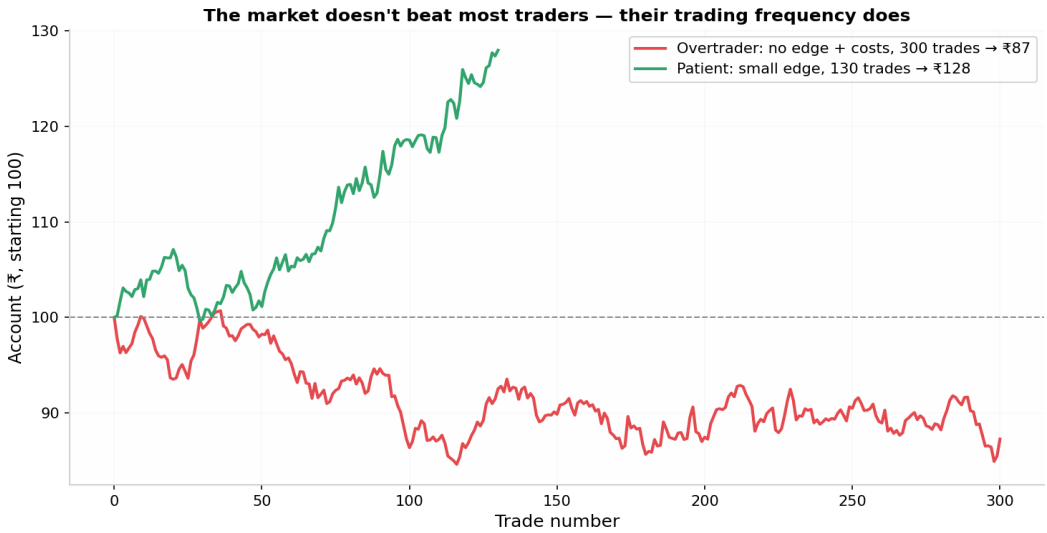
3. Which mistake are you statistically most likely to commit? (Check your last 10 trades against the table - honestly.)

Today's action step

Audit your last 10 trades against the seven-mistake table. Count hits per row. Your top row is your personal leak - write its fix on the same sticky note as your Day 25 triggers. Most students find one row with 3+ hits. Fixing that single row is worth more than any new strategy you'll ever learn - the Yes Bank crowd never audited theirs.

Answers: 1 - No stop loss (gap risk) -

2 - It multiplies size at the worst price and delays the inevitable exit - turns a normal loss into an account event - 3 - personal



The cost bleed: frequent trading without an edge

Day 27 - Journaling: Track Yourself Like a Business

How poker players turned "gut feel" into a profession

In the early 2000s, a new breed appeared in Las Vegas: the "online grinder." These players weren't geniuses or card sharks - they were database addicts. Every single hand they played was logged by software: cards, positions, bets, outcomes, opponents. Then the software answered questions no intuition could: *Which hands actually make me money from the small blind? Where do I lose the most? Is my win-rate real or a hot month?*

Here's the uncomfortable comparison. A mid-stakes online player reviews **tens of thousands of logged decisions a year** to find leaks worth fractions of a big blind.

The average trader - risking real money, with a career on the line - reviews... nothing.

No log, no numbers, no idea if their "edge" is real or a memory of their best week.

Poker turned into a profession the day players started treating every decision as data.

Trading has the same door. Today you walk through it.

> *Ask yourself: **The mirror test:** poker pros log every hand. SIP investors get a statement every month. Traders usually get... nothing. So - if your last 30 trades were printed out in front of you right now, would you be proud to read them? Reply honestly: proud, curious, or nervous? That feeling is exactly why today exists.*

What you'll learn

- The journal template (2 minutes per trade, no excuses)
- The weekly review ritual (20 minutes, the highest-ROI hour in trading)
- The five metrics that tell you if you're improving

The 2-minute trade journal

Log immediately after exit - while honest. Fields:

```
DATE        | 12-Oct
INSTRUMENT  | Nifty futures
SETUP       | Pullback-20EMA (type matters  -  feeds expectancy)
DIRECTION   | Long
ENTRY/EXIT  | 24,100 -> 24,220 (+2R)          ? always in R (Day 21)
CHECKLIST?  | Y/N   -  if N, which box skipped?   ? the money field
MISTAKE?    | None / #4 stop-moved / etc.       ? from Day 26's table
ONE LINE    | "Worked textbook; felt urge to exit early at +1R  -  resisted."
SCREENSHOT  | Entry chart + exit chart
```

Six fields and a screenshot. Two minutes. Anything longer gets abandoned within a week; this version survives real life. **Non-negotiables:** the R-multiple (never raw Rs), the checklist field, the mistake field.

The weekly review (20 minutes, same time every week)

1. **Compute the week's numbers** (metrics below).
2. **Sort by "Checklist followed?"** - compare expectancy of Y vs N trades. (The gap always exists. Your job is shrinking it - exactly like the poker grader filtering

hands by position.)

3. **One lesson, written:** "This week I learned ___" - one sentence. Fifty-two per year is an education nobody can sell you.

4. **One process tweak for next week:** never more than one. Journalers fail by redesigning their whole system every Sunday; one tweak compounds, ten tweaks cancel.

The five metrics that matter

Metric	Formula	What it tells you
Expectancy	(Win% x AvgWin) ? (Loss% x AvgLoss) in R	Do you have an edge? (must be positive after costs)
Profit factor	Gross wins ÷ gross losses	Above 1.5 = healthy; below 1.2 = fragile
Max drawdown	Peak-to-trough equity drop	Survival check vs your psychological limit
Checklist adherence	% trades with all 10 boxes	Your discipline score - the master metric
Mistake frequency	# of Day-26 mistakes per 10 trades	Your leak, trending

Track these weekly. **Checklist adherence and mistake frequency improve first - and expectancy follows.** Seeing that causal chain in your own numbers is the strongest motivation that exists in this business. (It's also exactly how the poker database works: fix the position leaks first, win-rate follows.)

The 30-trade milestone

At 30 journaled trades (you're approaching it now):

- Compute expectancy per **setup type** - kill the negative ones, keep the positive. (The grader's "which hands make money" question.)
- Compute expectancy for **followed vs skipped checklist** - the gap is your tuition, now recovered.
- Decide from data: scale size by 25-50%, or fix process first. The data decides, not your mood.

> *NOTE: ? **Common beginner mistakes** 1. Journaling only losses. Winners contain skipped boxes too - future blowups in rehearsal. 2. Tracking 20 metrics. Five is the max; beyond that you're curating a dashboard. 3. Reviewing monthly instead of weekly. A month of one leak costs 4x a week of it.*

The Indian story: the SIP investor beats the trader - and nobody asks why

Here is a quiet Indian paradox. The investor who puts Rs 10,000 a month into a Nifty index fund - no analysis, no screens, no decisions - has beaten the overwhelming majority of active traders over the last decade, and SEBI's own study says 93% of F&O traders lose money doing the opposite. Why does the "dumb" strategy win? Because it has what the trader refuses to build: a **written process reviewed on a schedule** (the mandate, the date, the auto-debit), no decisions made in the heat of the moment, and a record that

makes performance measurable. The SIP is, functionally, a journal that trades. Your job as a trader is to steal that structure and keep the edge that comes with skill: a written plan, mechanical execution, and a weekly review - the three things the SIP does automatically and the F&O crowd never does at all.

Key takeaways

- 2 minutes per trade, 6 fields, one screenshot. R-multiples only. (Poker pros log every hand; you'll log every trade.)
- Weekly: compute 5 metrics, compare followed vs skipped, one lesson, one tweak.
- Checklist adherence improves first; expectancy follows. That chain is the business.

Quick check (done)

1. Why must results be logged in R, not rupees?
2. Which single journal field predicts your future blowups?
3. What's the correct cadence of system changes?

Today's action step

Create the journal sheet NOW (template included in your package - journal-template.csv with live formulas). Then backfill your last week of trades, including paper trades from the course exercises. By Day 30's final quiz you should have 2-4 weeks of real entries; the students who journal from Day 1 are unrecognizable from those who start "later" - ask any poker pro when they started keeping records.

Answers: 1 - R normalizes across trade sizes and accounts; rupees conflate sizing with skill - 2 - "Checklist followed? No" on winners - 3 - One tweak per weekly review, never more

Day 28 - Backtesting Basics

The models were right. The data was wrong.

We met Long-Term Capital Management on Day 19 - the fund with two Nobel laureates, ~40% annual returns, and leverage near 25x. Here's the part of the story that belongs to today: LTCM's models were built on historical data, and their core assumption was that markets in the 1990s behaved like the data said markets had *always* behaved. Correlations, volatility, spread relationships - the models "knew" their normal ranges from history. Then Russia defaulted in August 1998 - an event that wasn't in the data in that form - and every relationship the fund traded blew past its historical range *simultaneously*. Positions that had "never" moved together moved together. The models hadn't made an arithmetic error; they'd made a *sampling* error. They had memorized one regime and called it the truth.

This is the deepest lesson in backtesting: a test doesn't prove your system works. It proves your system worked *in the specific past you tested* - IF you ran the test honestly. Today you learn to run it honestly, and to extract the one thing a backtest can actually give you: evidence, not certainty.

> *Ask yourself:* ***Hold that thought:*** *LTCM's models were built by Nobel Prize winners using the best data money could buy - and they still got fooled by their own backtest. So here's the question: if the smartest team in history got fooled, what chance does an untested feeling have? Note your answer - then learn the protocol they skipped.*

What you'll learn

- Manual backtesting: the 50-100 trade protocol
- The statistics to collect and the thresholds that matter
- The four biases that fake results (and how to neutralize each)

Why backtest at all?

Because 30 live trades is anecdote; 100 tested trades is evidence. Backtesting answers: *does this setup actually have positive expectancy - in this instrument, on this timeframe - before I risk money discovering the answer live?*

The manual backtesting protocol (no code needed)

1. **Define the setup precisely - in writing, before touching a chart.** Entry rule, stop rule, target rule. If any rule contains the word "maybe," stop. Example:
   - *Setup: pullback to 20 EMA in daily uptrend (price > 200 MA, 50 rising)*
   - *Entry: bullish engulfing at/below 20 EMA, buy its high*
   - *Stop: below pullback low - Target: prior swing high, minimum 2R or skip*
2. **Open a chart, hide recent data.** Scroll to a random point 1-2 years back.

3. **Walk forward candle by candle.** At each candle ask only: "did my rules fire here?" If yes - log the trade, mark entry/stop/target, then *let the chart play out* and record the result in R. **Never peek ahead** before the trade is logged.

4. **Repeat to 50-100 samples** - minimum 50; 100 is meaningfully better. Spread across market phases: at least one trend and one range. (Testing only a bull run gives you a bull-market system - the LTCM error at small scale.)

5. **Compute:** win rate, average R win/loss, expectancy, profit factor, max consecutive losses (compare with your Day 19 risk - can you survive your own system's worst streak?).

The go/no-go thresholds

Result	Verdict
Expectancy > +0.15R after estimated costs, profit factor > 1.5	Trade it small live + forward test
Expectancy 0 to +0.15R	Marginal - costs/execution decide; refine or skip
Expectancy < 0	Thank the test - it just saved you real money

Forward test before scaling: paper-trade or minimum-size the validated setup for 10-20 live trades. Backtests don't include your slippage, your missed fills, your 3 AM self. Live results within shouting distance of the backtest -> graduate the size slowly (25% steps), never in leaps.

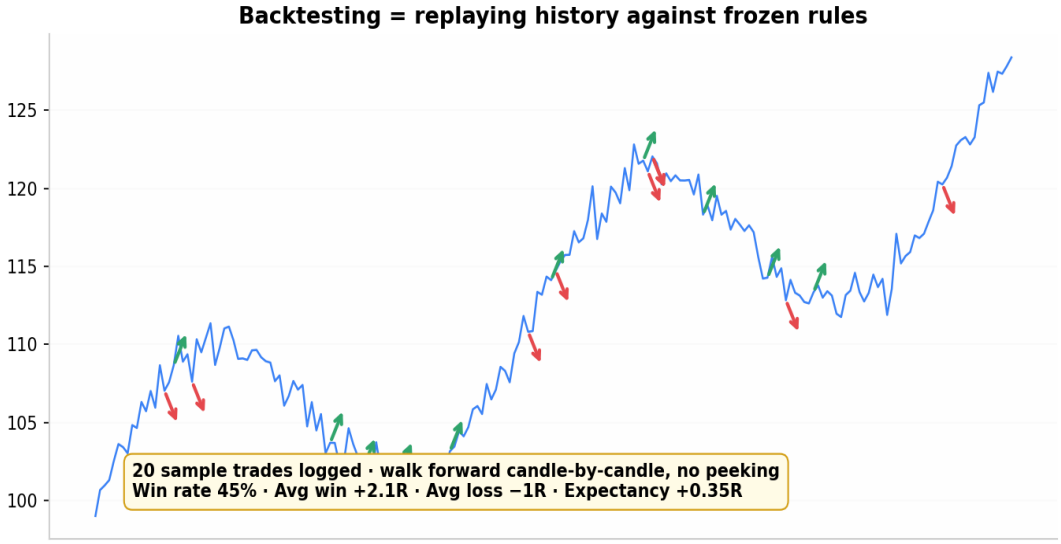
The four biases that fake results

1. **Hindsight bias:** knowing how history went, you subconsciously take trades you "would have seen." *Neutralizer:* strict candle-by-candle walking, decisions logged *before* scrolling forward.

2. **Curve-fitting (overfitting):** keep tweaking rules until the past looks perfect. A 10-rule system tuned on 50 trades has memorized noise - LTCM's data regime error in miniature. *Neutralizer:* rules frozen before testing; any tweak -> re-test from scratch. **3-5 rules maximum.**

3. **Sample bias:** testing only in one market phase. *Neutralizer:* force coverage across at least one trend and one range.

4. **Survivorship bias in instruments:** testing only on the stocks that "worked." *Neutralizer:* test the setup on everything your watchlist rule produces.



Backtesting: replaying history against frozen rules

Day 29 - Full Recap: Assembling Your Playbook

The document that turns skill into a business

Think about the most consistent business on Earth - McDonald's. A teenager in their first week can produce the same burger as a 10-year veteran. Not because teenagers are culinary geniuses, but because nothing important lives in anyone's head: the recipe, the temperatures, the timing, the cleaning schedule - it's all written down, versioned, and trained. The business runs on the *document*, and the document never has a bad day, never feels FOMO, never revenge-trades.

Now think about the average trader: everything lives in their head - the "system" changes with their mood, their rules bend under pressure, and their "edge" is whatever their last trade felt like. They are, professionally speaking, a kitchen with no recipe book - some days brilliant, always unrepeatable, eventually closed.

Thirty days ago you started as that kitchen. Today you write the recipe book. This one page converts everything you've learned into a document that never has a bad day.

> *Ask yourself:* ***Last question of the assembly line:*** *McDonald's, the Mumbai dabbawalas, and now you. What do you think actually separates a trader with a written playbook from one without - skill? luck? discipline? Something else? Note your theory. By tonight, you'll have written your answer across eight sections.*

What you'll learn

- The playbook structure (one page, eight sections)
- How to fill it using only what you validated
- The graduation setup for tomorrow

The playbook: one page, eight sections

```
????????????????????????????????????????????
  MY TRADING PLAYBOOK        (name - version 1.0 - date)
????????????????????????????????????????????
1. INSTRUMENTS   Max 5, liquid only:
                 _____________________________________
2. TIMEFRAMES    Bias: ____ - Setup: ____ - Trigger: ____
3. MY SETUP(S)   The 1-2 setup types I trade (no more):
                 Entry rule: ______ Stop rule: ______ Target rule: ______
4. RISK RULES    Risk/trade: ___% - Daily limit: ___ - Max trades/day: ___
5. CHECKLIST     My 10 boxes (Day 23 version, personalized)
6. MY STATS      Expectancy: ___R - Win rate: ___ - Max losses in a row survived: ___
7. MY TRIGGERS   After a loss I tend to: ______ -> my counter-rule: ______
                 After a win I tend to:  ______ -> my counter-rule: ______
8. REVIEW RITUAL Weekly: (day/time) ______ - Journal: after every trade, 2 min
????????????????????????????????????????????
```

The three filling rules

1. **Only validated content enters.** Section 3 comes from your backtest (Day 28) and journal (Day 27) - not from a YouTube video you watched last night. If it isn't in your data, it doesn't get a line in the playbook. (McDonald's doesn't put untested

burgers on the menu because they looked good on someone else's grill.)

2. **Blank sections are answers too.** Can't fill "My stats" yet? Then your next 20 trades exist to fill that box - that's their purpose. The playbook makes your weaknesses visible instead of vague.

3. **Version it.** v1.0 today. Change one thing per weekly review (Day 27), bump the version, note what changed. In a year you'll have v1.0 -> v4.2 of a system that provably evolved - that document alone separates you from 95% of market participants.

The 30-day recap - the whole course on one screen

Days	Block	You own now
1-8	Foundations	Market mechanics (Flash Crash), orders (Knight Capital), charts (May 2021 crypto dump), sizing math (negative oil), leverage (the multiplier: Meena vs Ravi), spreads (SNB shock), analysis types (The Big Short), your style (the Turtles)
9-16	Technical toolkit	Zones ($10k Bitcoin), trends (oil's $147 channel), the 5 patterns (March 2020 hammer), 6 chart patterns (the Nasdaq H&S), 20/50/200 (2008 vs 2022), RSI/MACD (Nov 2021 divergence), Fibonacci (June 2020's 61.8%), top-down (Meta's $230B day)
17-24	Mechanics	Entries/exits (GameStop's two traders), structural stops (Barings), the 1-2% rule (LTCM), Turtle sizing, casino expectancy, breakout vs pullback (BTC's fakeout tax), the B-17 checklist, the Taiwan 1%
25-30	Psychology	Kerviel's spiral, Yes Bank's averaging, the poker database, LTCM's data lesson, and now - the McDonald's playbook

The course's one-sentence summary:

> ***Trade with the higher-timeframe trend, at confluence zones, on defined triggers, with structural stops, sized by formula, journaled in R, reviewed weekly - and let nothing emotional touch any of those steps.***

The Indian story: the dabbawala playbook (part two)

Day 23 introduced the dabbawalas' code; today you learn the rest of it - because their "playbook" is even better than their checklist. The Mumbai dabbawala association runs entirely on documented convention: routes, handoffs, arbitration of errors, and discipline - no central manager directing two lakh boxes, no GPS, no app. Studies of the system found something remarkable: the written convention survives because **it is owned by the people who follow it**, revised by the association, not imposed. That's your playbook, exactly: not my template laminated to your wall, but YOUR eight sections, filled

with YOUR validated setups, versioned by YOUR weekly reviews. McDonald's runs burgers on documents; two lakh Indians run lunch on documents. Today, you run your capital on one.

Today's action step

Fill your playbook draft now - completely, honestly, including the blanks. Tomorrow, after the final quiz, you'll receive the Strategy Playbook PDF (the course's designed template) to compare against yours. The differences between your v1.0 and the template are your personalized study list for month two.

Tomorrow: the final quiz (15 questions, all levels), graduation, and what's next - including how the main channel fits into your continued growth. See you at the top.

Day 30 - Final Quiz & Graduation

Thirty days ago, you didn't know what a bid was

Think back to Day 1. The Flash Crash - Accenture at one cent, PG&E at $39,999 - was probably your first time hearing that a price is just the last agreement between two people. You didn't know a limit order from a stop. You'd never heard of Nick Leeson, LTCM, the Turtles, or the day oil went below zero. The March 2020 hammer, Bitcoin's $10k wall, Meta's $230 billion single day, Kerviel's ?4.9 billion spiral - all of it was someone else's story.

Now you carry thirty of these stories - not as trivia, but as installed instincts. When you see a level rejected a fourth time, you'll think of $10,000 Bitcoin. When you feel the urge to widen a stop, you'll think of a 233-year-old bank. When you're tempted to size up after three wins, you'll think of a quiet man in Paris who couldn't take ten minutes. That's what 30 days of deliberate practice does: it converts history into reflexes.

One last test remains. Fifteen questions across everything. Score 12+ to graduate and unlock your Strategy Playbook PDF and certificate.

Ask yourself: **One last question before everything ends:** thirty days of stories - from the Flash Crash to the dabbawalas. Which single story do you think you'll actually remember during your first live losing week? Note it. Whatever you picked - that's your anchor. Now go prove the lessons stuck.

FINAL QUIZ (15 questions)

1. Price moves because...

a) news is released b) aggressive buyers outnumber sellers (or vice versa) c) indicators cross

2. You buy at 24,100, stop 24,040, lot 75, 1 lot. Risk in Rs ?

a) Rs 4,500 b) Rs 6,000 c) Rs 450

3. A level touched and held 5 times over 3 months is...

a) strong b) increasingly likely to break c) irrelevant

4. The best first target for a long out of a base is...

a) +10R always b) the next structural obstacle c) wherever it feels high

5. In an uptrend, RSI dipping to 45 and turning up is...

a) a sell signal b) a pullback buy zone c) noise

6. Account Rs 4,00,000. Risk 1.5%. Max rupee risk per trade?

a) Rs 4,000 b) Rs 6,000 c) Rs 60,000

7. Wins 35%, avg win +3R; losses 65%, ?1R. Expectancy?

a) +0.4R b) +0.05R c) ?0.6R

8. Your 5-minute chart shows a perfect short; the daily is a raging uptrend. You...

a) short small b) ignore the 5m - trade with the daily or wait c) flip a coin

9. A breakout candle closes beyond the range high on 3x volume. This is...

a) confirmed b) a fakeout c) irrelevant without the close

10. The four stop sins include all EXCEPT...

a) no stop b) stop inside noise c) stop beyond structure with buffer d) widening stops

11. Three losses in a row, ?2.8% on the day. Correct action?

a) One more, smaller b) Close the terminal - circuit breaker c) Switch to a faster timeframe

12. Averaging down into a loser is forbidden because...

a) brokers charge more b) it multiplies size at the worst price and delays the exit c) it's illegal

13. A 1:2 trade needs what win rate to break even (before costs)?

a) 50% b) 33% c) 25%

14. Your backtest shows +0.3R expectancy over 80 trades. Next step?

a) Full size immediately b) Forward-test small 10-20 live trades, then scale in steps c) Add more indicators to improve it

15. The single highest-value habit from this course is...

a) finding better entries b) the written checklist + journal loop c) trading more liquid instruments only

<details><summary>Answer key</summary>1b - 2a - 3b - 4b - 5b - 6b - 7a ((0.35x3)?0.65=+0.4R) -

8b - 9a - 10c - 11b - 12b - 13b - 14b - 15b</details>

The Indian story: the index that forgave everything

One last Indian image before you graduate. In March 2020, the crowd sold Nifty at 7,511

in panic - the circuit-breaker days, the India VIX at 83, the frozen order queues from

Day 1's story. Over the next five and a half years, that same index didn't just recover:

it went on to make **dozens of all-time highs**, crossing 22,000, 24,000 and beyond -

buyers of the panic were right not because they were brave, but because markets, over

time, pay the patient and remove the impatient. Every lesson in this course - the zones,

the stops, the sizing formula, the circuit breaker, the checklist - exists to keep you

alive and on the right side of that sentence. The next panic will come. It always does.

You are now among the few who will read it instead of feeding it.

GRADUATION MESSAGE (read on Day 30 evening)

> ***You graduated.***
>
> *30 days ago you didn't know what a bid-ask spread was. Today you can read the market the way the stories taught you - the Flash Crash's auction, Bitcoin's wall at $10k, the hammer that ended March 2020, the checklist that saved the B-17, the sizing formula that made the Turtles, the circuit breaker that LTCM never had.*
>

You now hold: a trend filter, a confluence method, structural stops, a sizing formula, an expectancy calculator, a 10-box checklist, a journal, a backtest protocol, and a playbook. Most people who will ever open a trading account never build one of these. You built all of them.

>

Your Strategy Playbook template is in your bonus pack (assets/templates/playbook-template.md). Fill it in - that filled document is your certificate of completion. Version it. Protect it.

>

And when you're ready for the next step - watching these exact principles applied live, every trading day, with real entries, stops and reviews from a working desk - you already know where to find us. This course was the classroom. The main channel is where it comes alive.

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Trade well. - Your trading desk

What happens next (funnel)

1. Day 30: student self-scores the final quiz and fills the playbook template.
2. **Day 30 evening:** the graduation + upsell message (above) arrives as the final

drip email. Target conversion: 20-30% of graduates.

3. Non-converters: 48h later, one soft follow-up ("Playbook v1.1 tip of the week"

style) - then leave them; the course already did its job.

Your real graduation task

One trade. Full process. Top-down bias -> zone -> trigger -> written stop -> formula size -> journal entry in R -> weekly review scheduled. You have everything. The market is open tomorrow - and now, every story in this course is standing behind you.

Workbook - Practice Problems

Do these with a calculator, then check the key. Every problem uses only the formulas from Days 4, 19, 20 and 21.

A. Position sizing (10 problems)

1. Account Rs 2,00,000 - risk 1.5% - Nifty entry 24,100 - stop 24,040 - lot 75. Size?

2. Account Rs 3,50,000 - risk 2% - stock entry Rs 520 - stop Rs 500 - shares. Size?

3. Account Rs 1,00,000 - risk 1% - BankNifty entry 51,000 - stop 50,700 - lot 30. Size? (What if it doesn't fit?)

4. Account Rs 5,00,000 - risk 1% - Nifty entry 24,000 - stop 23,700 - lot 75. Size?

5. Account Rs 2,00,000 - risk 1.5% - option premium Rs 150, planned exit at Rs 90, lot 50. Size? (Underlying-based stop, not zero.)

6. Account Rs 2,50,000 - risk 1% - stock entry Rs 1,000 - stop Rs 940 - shares. Size?

7. Reverse check: 2 Nifty lots (75) at 24,100, stop 24,040, account Rs 3,00,000. What % risk? Within the 1-2% rule?

8. Reverse check: 300 shares at Rs 600, stop Rs 585, account Rs 4,00,000. Risk %? Verdict?

9. You compute 2.7 lots with a strict 1.5% budget. What exactly do you do?

10. Correlated cluster: long Nifty (1%), long BankNifty (1%), long a private-bank stock (0.8%). Effective risk? Verdict?

B. Expectancy (5 problems)

1. Win 45% - avg +2R - loss 55% - avg ?1R. Expectancy? Tradeable?

2. Win 60% - avg +0.8R - loss 40% - ?1R. Expectancy? Verdict after costs?

3. Win 30% - avg +3R - loss 70% - ?1R. Expectancy?

4. Win 50% - avg +1.4R - loss 50% - ?1R. Expectancy?

5. Win 55% - avg +0.9R - loss 45% - ?1R. Expectancy? Why is this one dangerous?

C. R-multiples (3 problems)

1. You risked Rs 4,000 and exited with Rs 11,000. Result in R?

2. You risked Rs 6,000 and scratched at Rs 6,050. Result in R?

3. Journal shows +0.3R average over 60 trades, avg win 2R, avg loss 0.95R. What win rate does that imply?

Answer key - A: 1) 0.67 lots -> doesn't fit, skip or find tighter stop - 2) 350 shares - 3) 0.11 lots -> skip - 4) 0.22 lots -> skip - 5) 1 contract - 6) 41 shares - 7) 3% - over the rule, halve or skip - 8) 1.125% - inside the rule - 9) Take 2 lots if within budget, else skip; never 3 - 10) ~2.8% on one bet - over the rule; treat as one cluster.

Answer key - B: 1) +0.35R tradeable - 2) +0.08R eaten by costs, skip - 3) +0.20R thin - 4) +0.20R thin - 5) +0.045R - looks positive, dies to costs. The most dangerous expectancy is the one that needs perfect execution to survive.

Answer key - C: 1) +1.75R - 2) about 0R (+0.008R) - 3) W = (0.3 + 0.95) / 2.95 = 42.4%.